

In a cyclical state of mind

Bruce Kasman

Chief Economist

Global Economic Research

+1 (212) 834-5515

bruce.c.kasman@jpmorgan.com

JPMorgan Chase Bank NA

www.jpmorganmarkets.com/economics

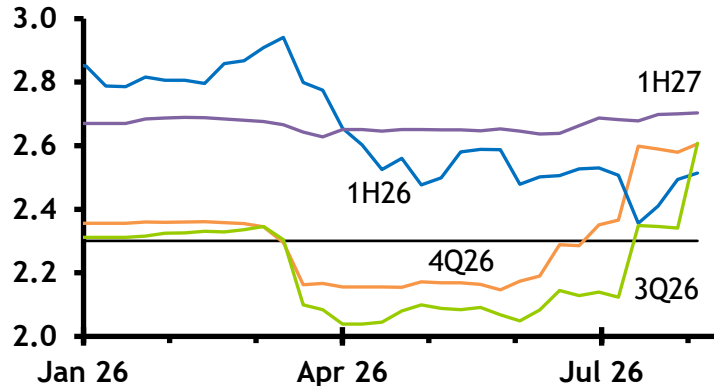
See the end pages of this presentation for important disclosures

J.P.Morgan

The view: Resilience, sticky inflation and hikes ...

J.P. Morgan global GDP

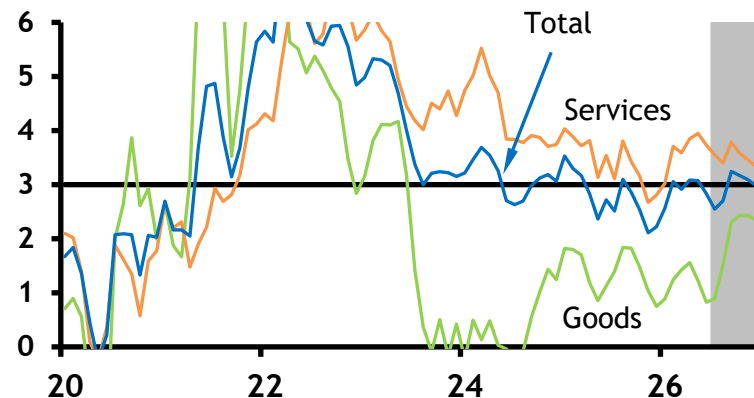
% change saar; fcst by date made, black line at potential



Source: J.P. Morgan Global Economics

Global core CPI

%3m saar; shading is J.P.Morgan forecast



Source: J.P. Morgan Global Economics. Details on request. Global ex China and Türkiye.

Policy rates and Taylor rule estimates

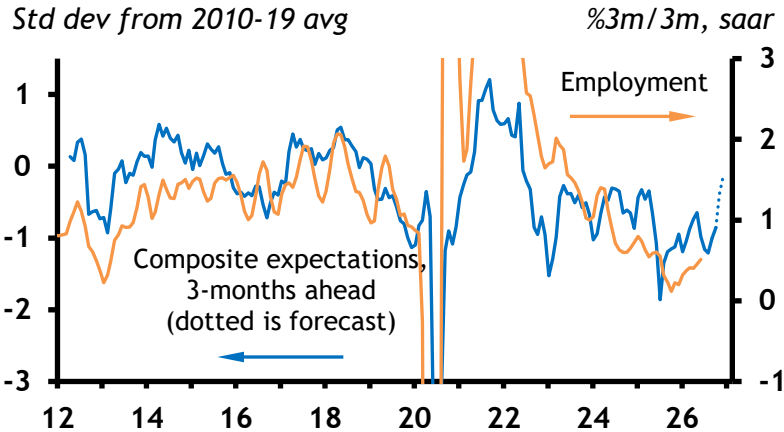
%p.a., uses JPM forecasts

	4Q25		4Q26	
	Policy rate	Taylor implied	Policy rate	Taylor implied
DM*	3.1	3.2	3.5	3.8
US	3.8	3.8	4.0	4.9
Euro area**	2.0	2.1	2.5	2.3
UK	3.8	4.2	4.0	3.4
Norway	4.0	4.9	4.5	4.9
Sweden	1.8	0.6	2.0	1.9
Canada	2.3	1.7	2.3	1.4
Australia	3.6	4.2	4.4	3.5

Source: National sources, J.P. Morgan. Details on request. *Excludes Japan and New Zealand. **Euro area uses the output gap rule, other countries use the u-rate gap rule.

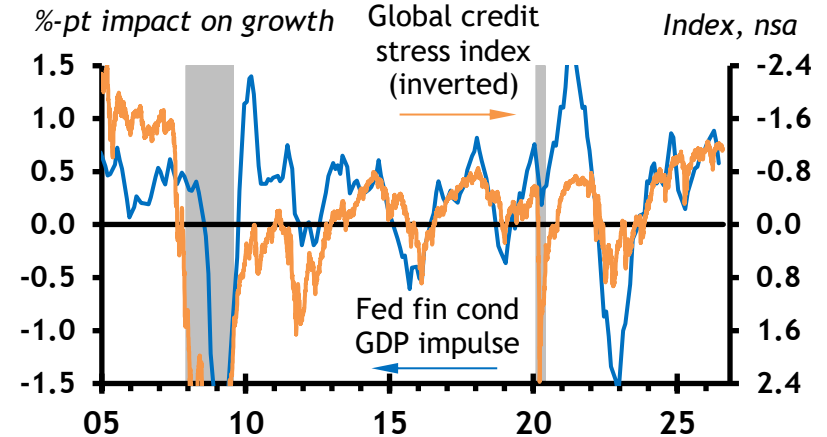
... as powerful forces promoting lift ...

Global business confidence and employment



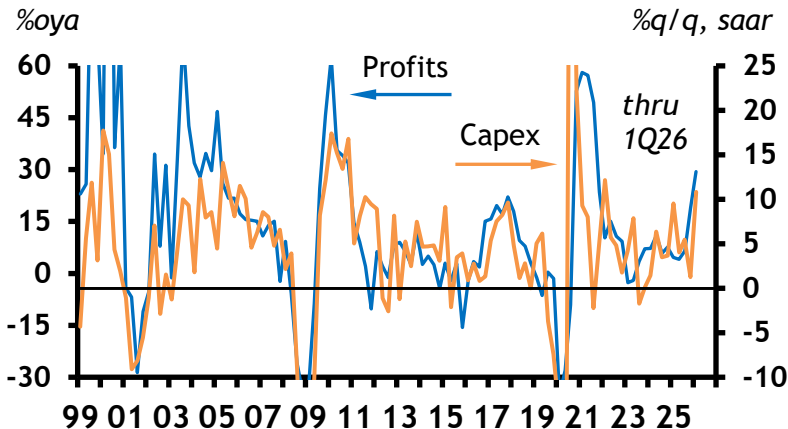
Source: National sources, J.P. Morgan. Details on request.

US Fed FCI-G and global credit stress



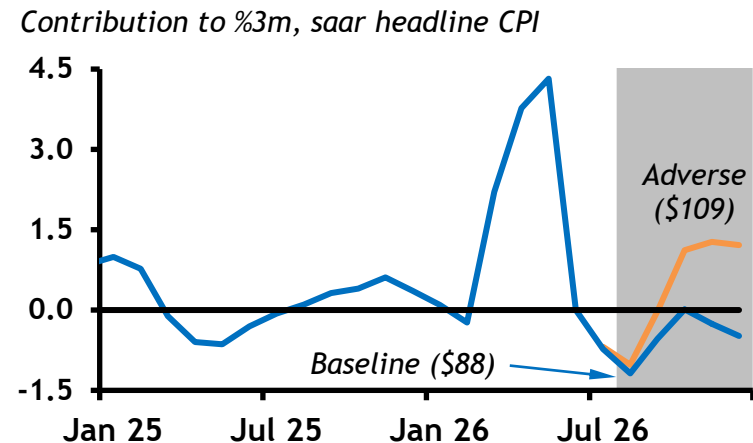
Source: FRB, US Dept of Treasury, J.P. Morgan. FCI-G uses 1-yr lookback.

Global corporate profits and capex



Source: J.P. Morgan, Bloomberg Finance L.P.; GDP-weighted MSCI (Bloomberg) by country

Energy contribution to CPI

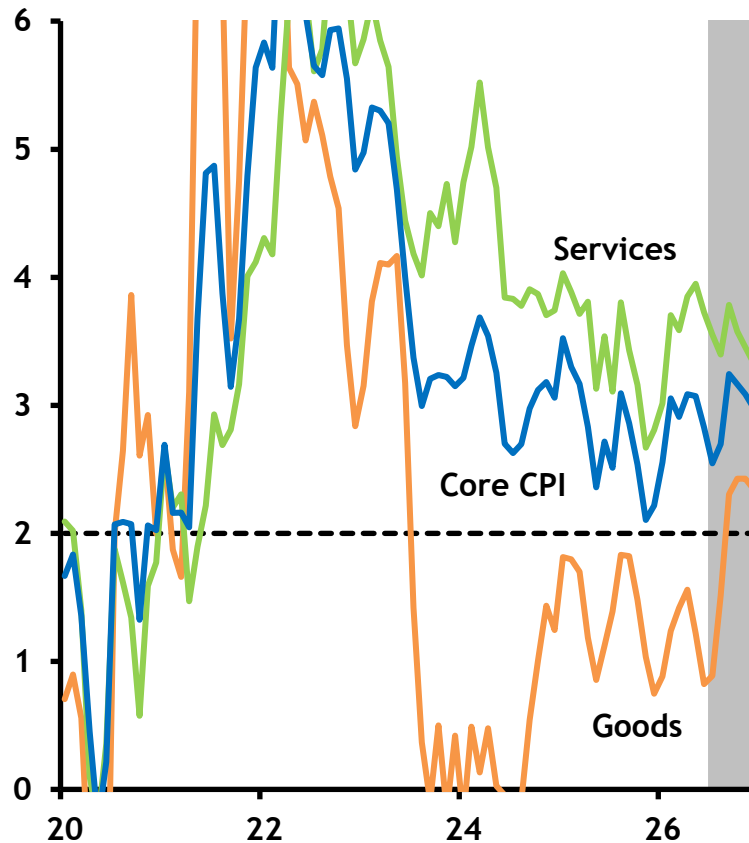


Source: J.P. Morgan Global Economics. Peak 2H26 price in parentheses.

... meets sticky inflation, tightening labor markets

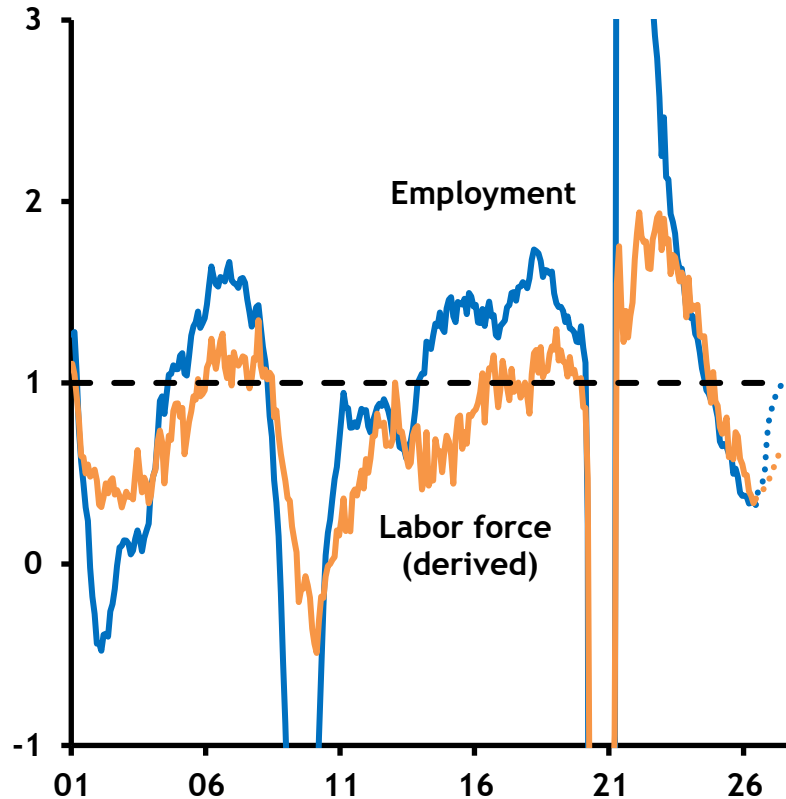
Global core CPI

%3m saar



Global (ex China) labor markets

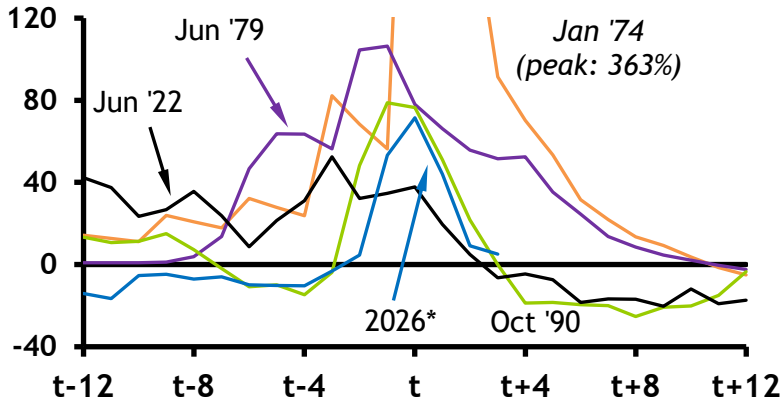
%oya; dotted is forecast



A global expansion buffeted by multiple shocks

Oil price around geopolitical shocks

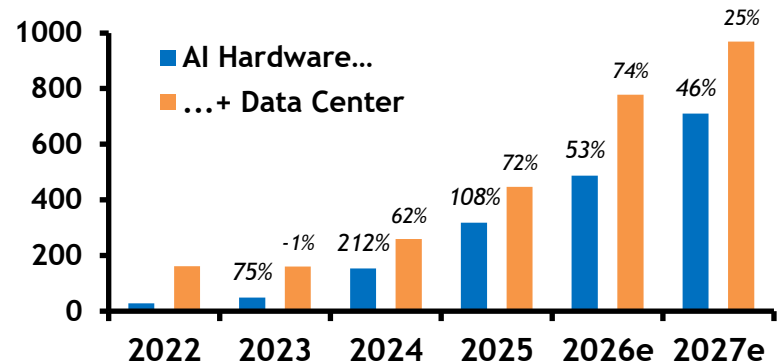
% deviation prior 1y avg; t = peak in %6m Brent oil



Source: World Bank, J.P. Morgan. *%6m peak in April 26

Global AI capex

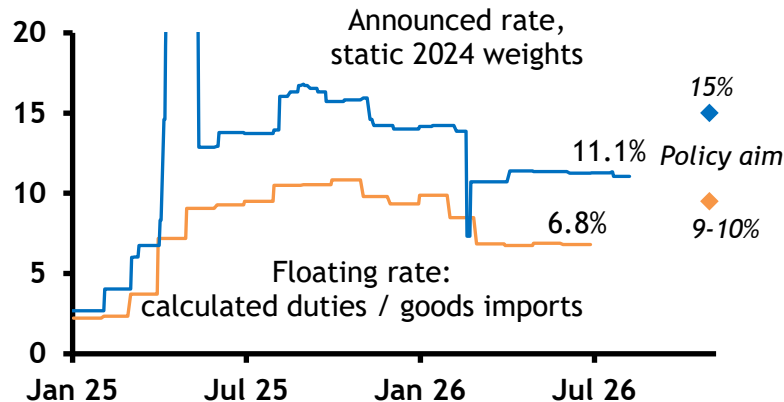
\$bn, bars labeled with percent growth



Source: J.P. Morgan, IDC, and company reports; Hardware incl silicon and networking; Total adds data centers (real estate, power, cooling, etc.)

US effective tariff rates

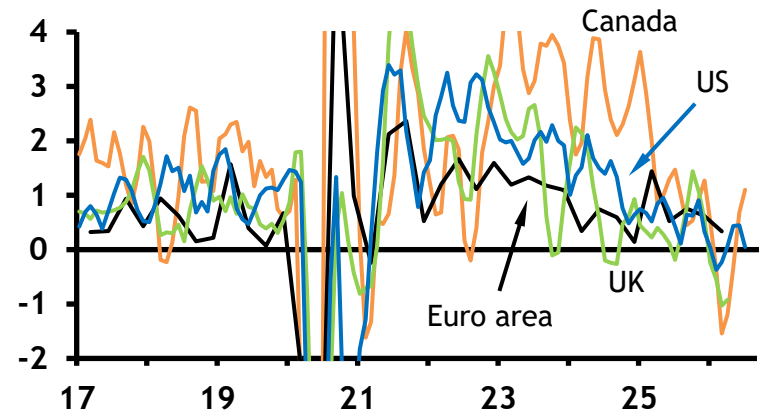
%; observed thru June



Source: Census Bureau, Yale Budget Lab, J.P. Morgan

Labor force growth

%3m/3m, saar (EMU is %q/q, saar)

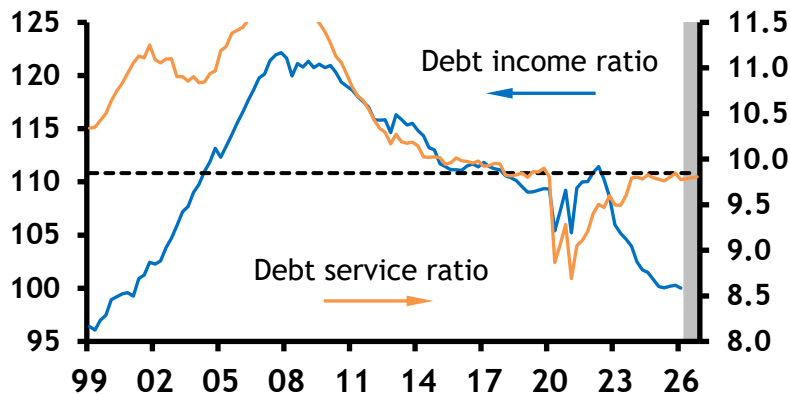


Source: National sources, J.P. Morgan. Details on request. Derived from empl. and u-rate.

Against a backdrop of solid foundations ...

Household debt and debt servicing, DM

% of income, both scales

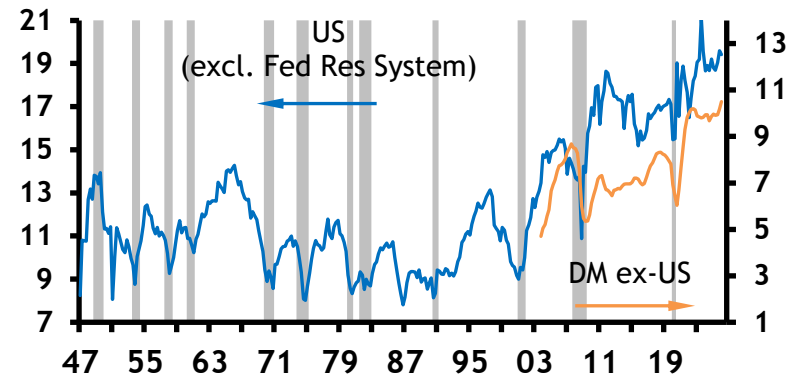


Source: J.P. Morgan Global Economics

Corporate profit margin

%; NIPA-based

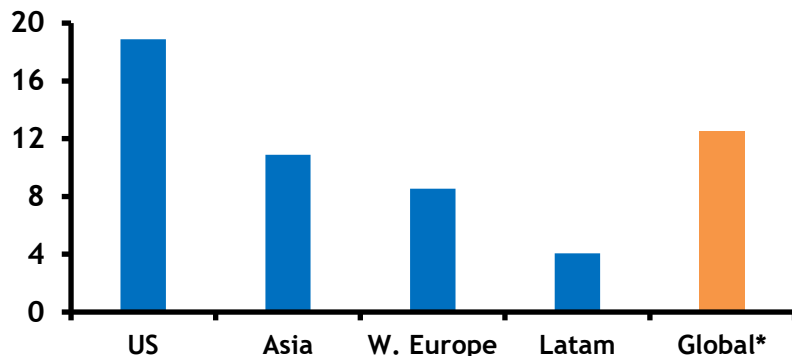
%, MSCI earnings/revenue



Source: BEA, IBES MSCI, J.P. Morgan; DM MSCI agg. is a GDP-weighted avg.

Effective contribution of equity markets to wealth

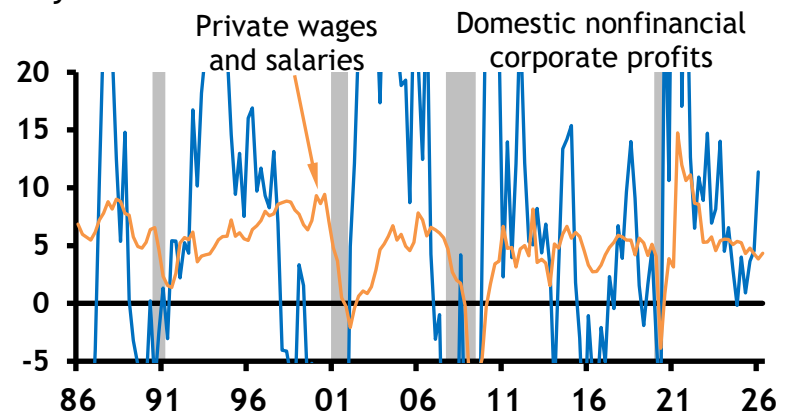
% gain in equities since Jan 01 2025, scaled by % ownership



Source: Bloomberg Finance L.P., J.P. Morgan. *Global is GDP-wt'd average.

US corporate profits and private wages

%oya

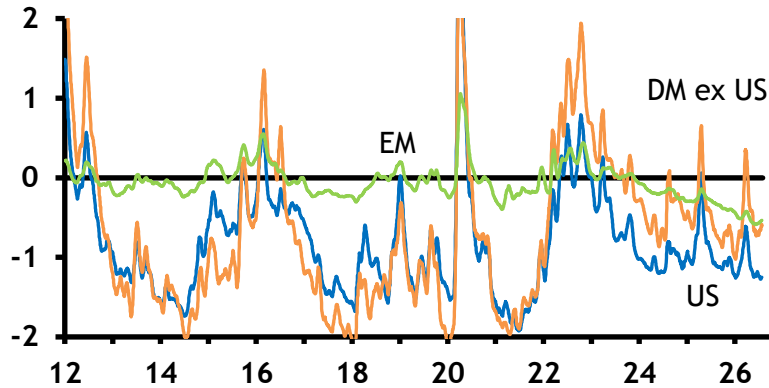


Source: BEA, JPM; Profit before-tax (IVA, CCA); Shading US recessions

... reflected in and supported by easy fin. conditions

OFR Financial Stress Index

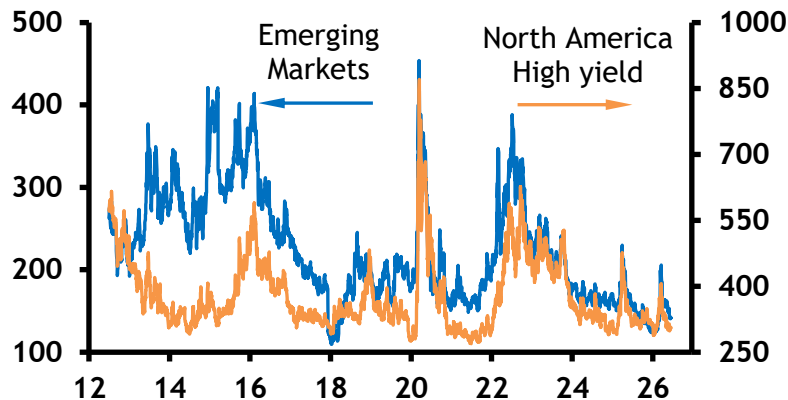
Index, zero is neutral (4wk mavg)



Source: Office of Financial Research (US Treasury), J.P. Morgan

Credit default swaps

bps, spread; 5yr on-the-run, both scales

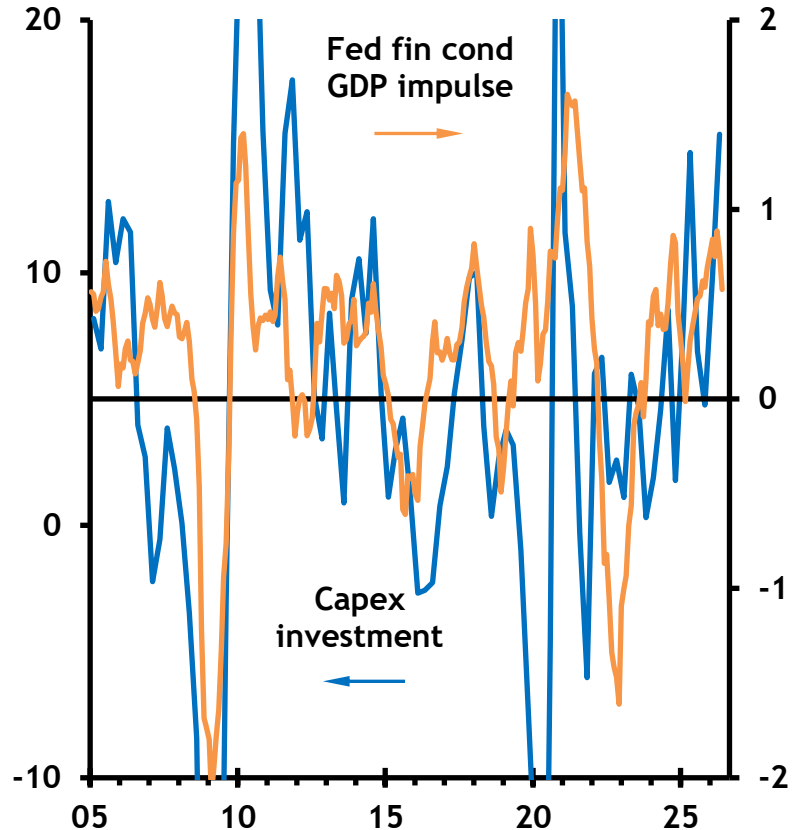


Source: Bloomberg Finance L.P., J.P. Morgan

US capex and Fed FCI-G

%2q, saar

%-pt impact on growth



Source: FRB, J.P. Morgan. FCI-G uses 1-yr lookback.

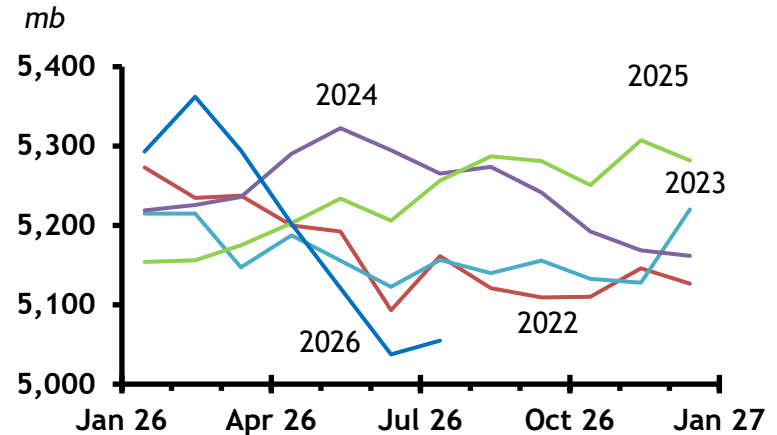
Energy shock fades, but risks linger

Baseline: Impact of crude shock

	\$/bbl	%chg	% change ar		Cum. level, %	
			GDP	CPI	GDP	CPI
25Q4	62					
26Q1*	66	6	-0.2	0.6	0.0	0.1
26Q2	98	48	-1.6	4.8	-0.5	1.3
26Q3	86	-12	-1.1	-1.2	-0.7	1.0
26Q4	80	-10	0.7	-1.0	-0.6	0.8
27Q1	71	-14	0.7	-1.4	-0.4	0.4
27Q2	67	-8	0.7	-0.8	-0.2	0.2

Source: J.P. Morgan. *Avg through before ME conflict.

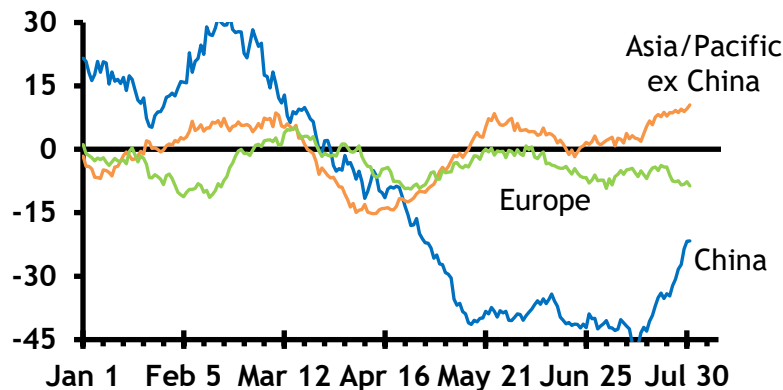
Global ex. China oil inventories*



Source: JODI, IEA, EIA, Kpler, JPM Commodities Research. *ex. oil on water

Tankers imports, divergence from 2025

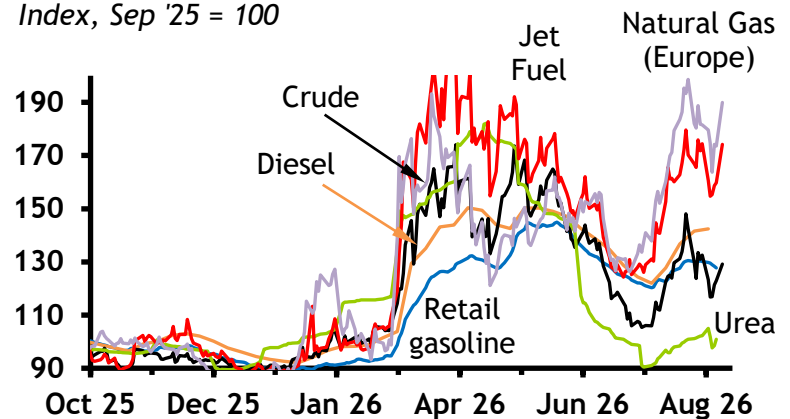
%oya, 28d mov avg



Source: IMF Portwatch, J.P. Morgan

Petro-based product prices

Index, Sep '25 = 100

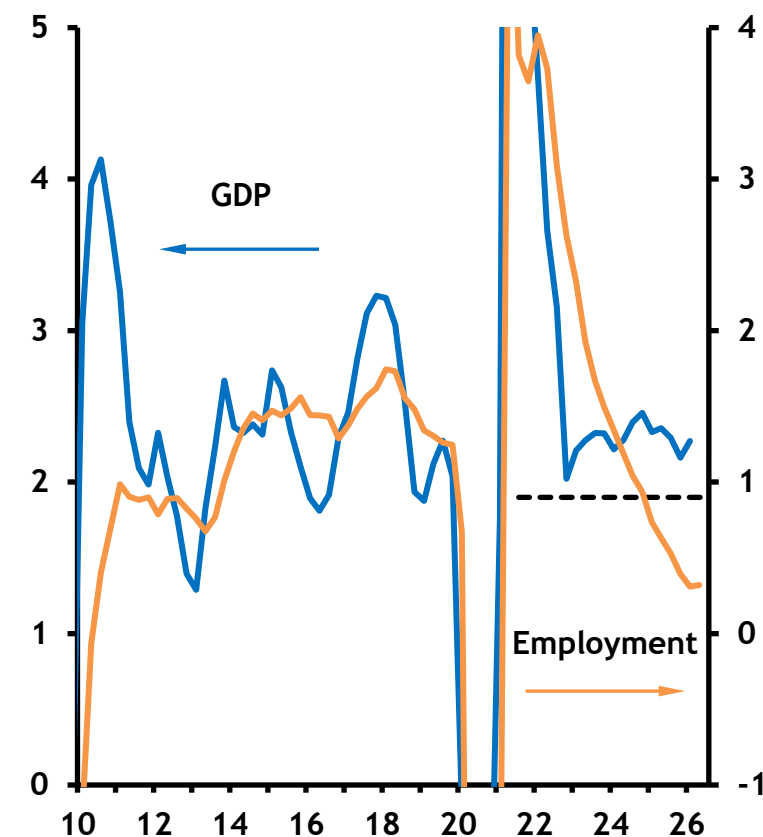


Source: Bloomberg Finance L.P., J.P. Morgan

Last year saw a very odd decoupling

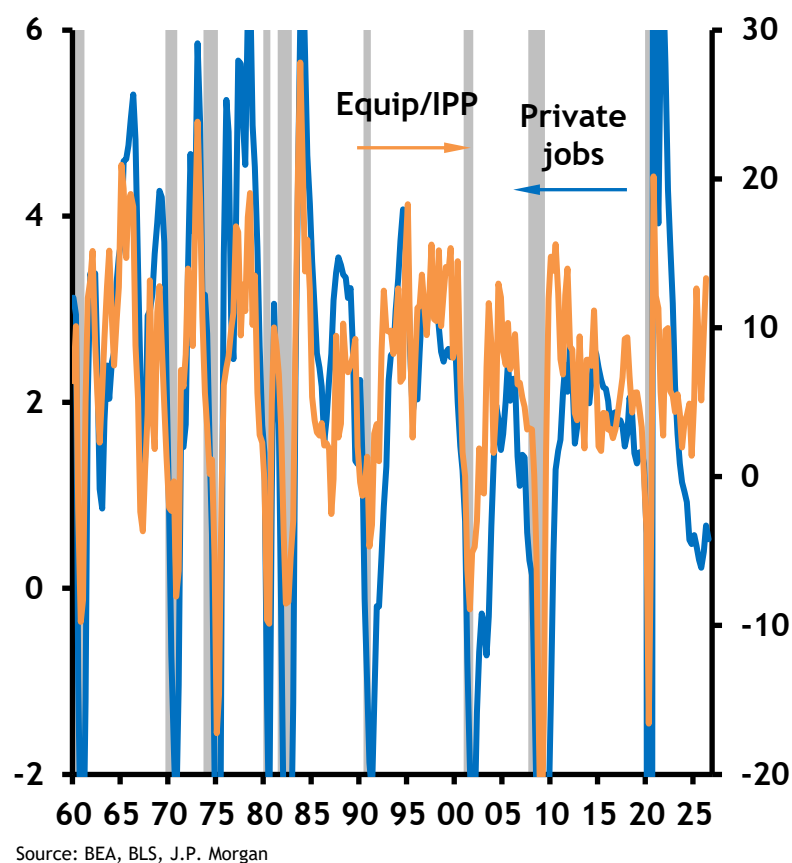
Global (ex China) GDP and employment

%*oya*, both scales; Dashed line is potential.



US investment and employment

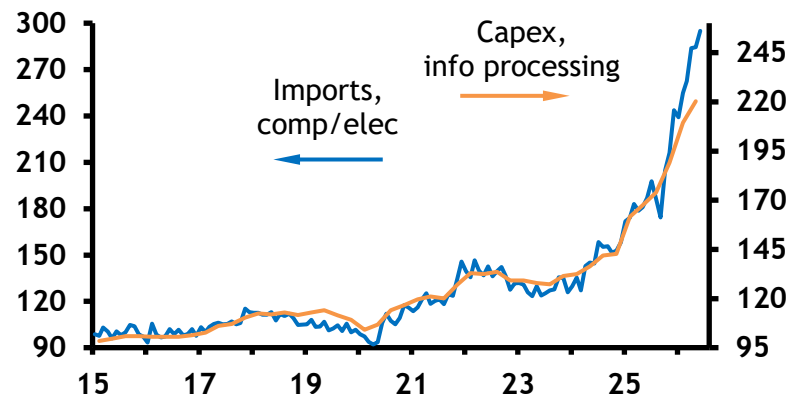
%2Q, *saar*, both scales



AI fueled global capex and Asia GDP

US tech imports and capex

Index, sa, 2015=100; both scales



Source: BEA, Census Bureau, J.P. Morgan

US tech contrib to real GDP growth

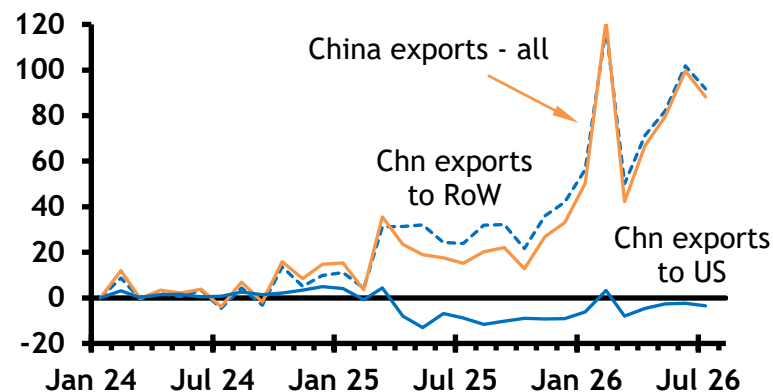
%, ann rate

	2Q25	3Q25	4Q25	1Q26	2Q26	CY24	CY25
Physical capex	0.3	0.3	1.0	0.9	0.3	0.1	0.7
Buildings: Data centers	0.0	0.0	0.1	0.1	0.0	0.0	0.0
Equipment: Silicon	0.3	0.3	0.9	0.9	0.2	0.1	0.6
Net trade in tech goods	-0.2	0.0	-1.8	-1.3	-0.3	-0.2	-0.9
Physical add to GDP	0.2	0.3	-0.8	-0.4	-0.1	-0.1	-0.2
Software	0.6	0.1	0.1	0.6	0.3	0.1	0.3
Net tech contribution	0.8	0.3	-0.7	0.2	0.2	0.0	0.2
Memo: Total GDP growth	3.8	4.4	0.5	2.1	1.5	2.4	2.0

BEA, Census Bureau, J.P. Morgan. Net trade includes computers and peripherals, semiconductors, and telecom equipment

China exports to US and RoW

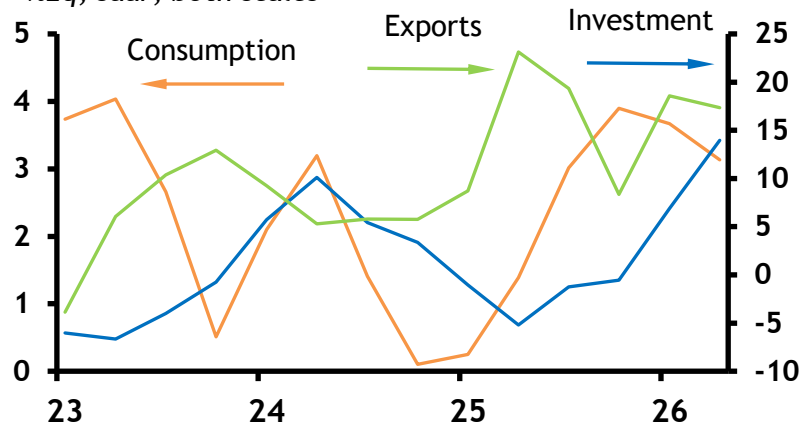
\$bn, chg from Jan 2024 level



Source: China Customs, J.P. Morgan

North Asia* GDP components

%2q, saar, both scales

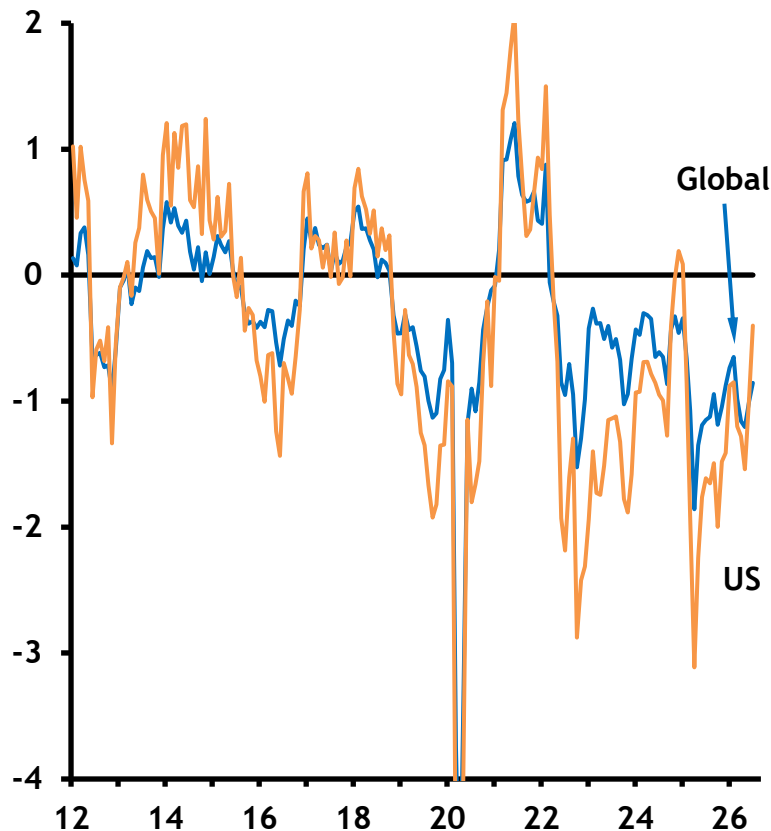


Source: National sources, J.P. Morgan. Details on request. *Defined as Korea and Taiwan.

AI centric narratives ignored large sentiment shock concentrated in US ...

Composite expectations index

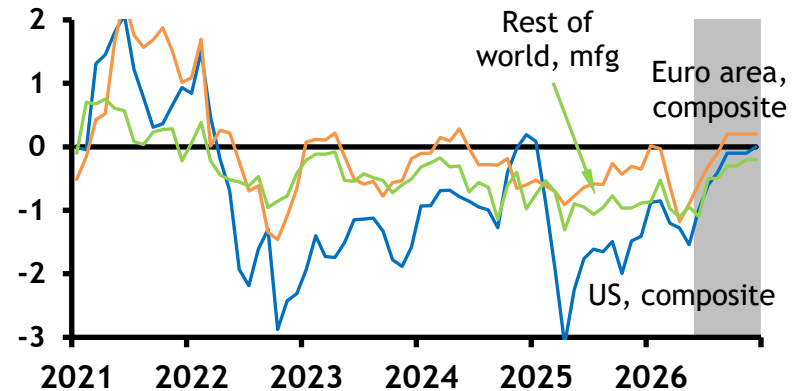
Std dev from 2010-19 avg



Source: S&P Global, national sources, J.P. Morgan. Details on request.

Business expectations index

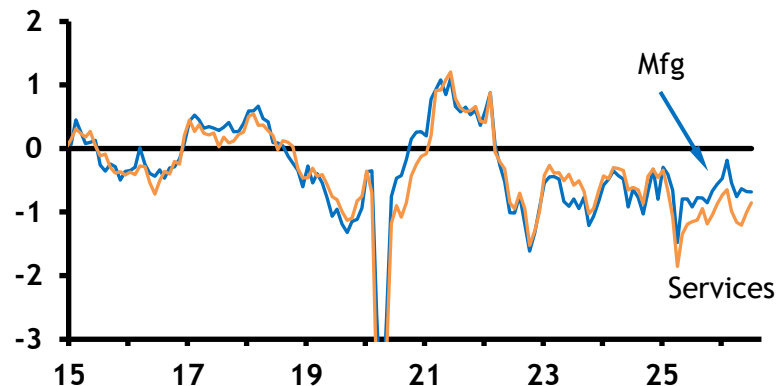
Std dev from 2010-19 avg; shaded region denotes forecast



Source: National sources, S&P Global, J.P. Morgan. Details on request.

Global mfg and service expectations

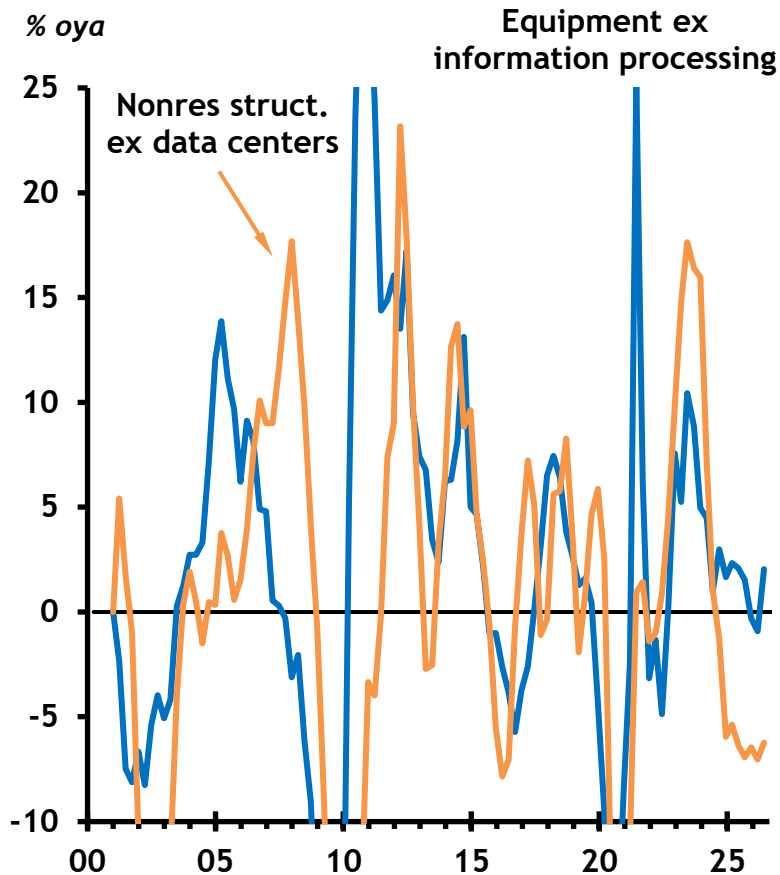
Std dev from 2010-19 avg



Source: S&P Global, national sources, J.P. Morgan. Details on request.

...that depressed non-tech spending and hiring

US real non-tech investment

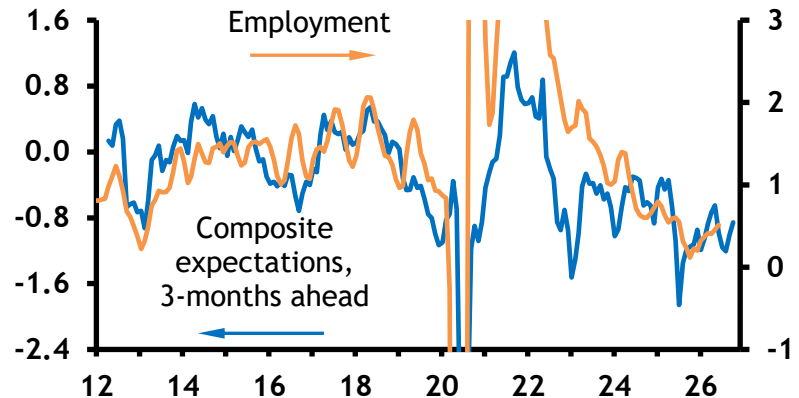


Source: BEA, J.P. Morgan

Global business confidence and employment

Std. dev. from 2010-19 avg

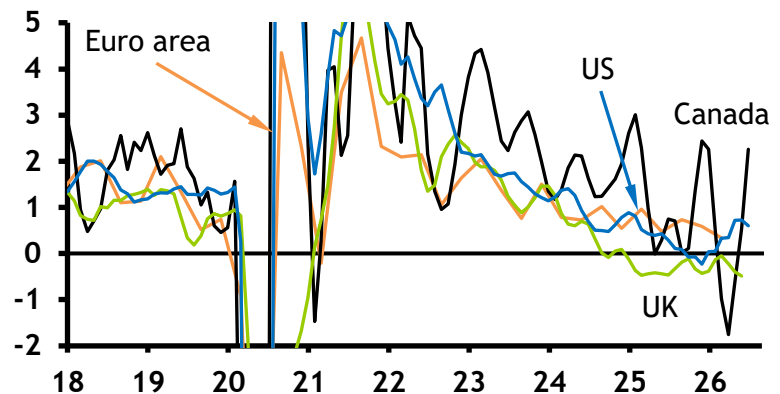
%3m3m, saar



Source: National sources, J.P. Morgan. Details on request.

DM employment

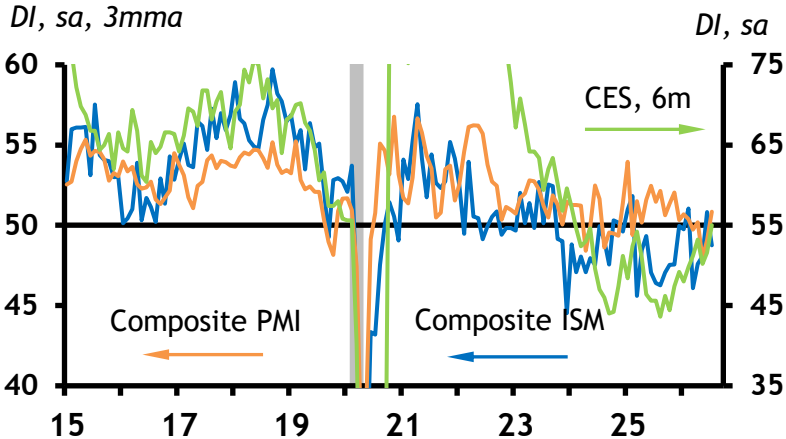
%3m/3m, saar (Euro area is %q/q, saar)



Source: BLS, Eurostat, ONS, StatCan, J.P. Morgan

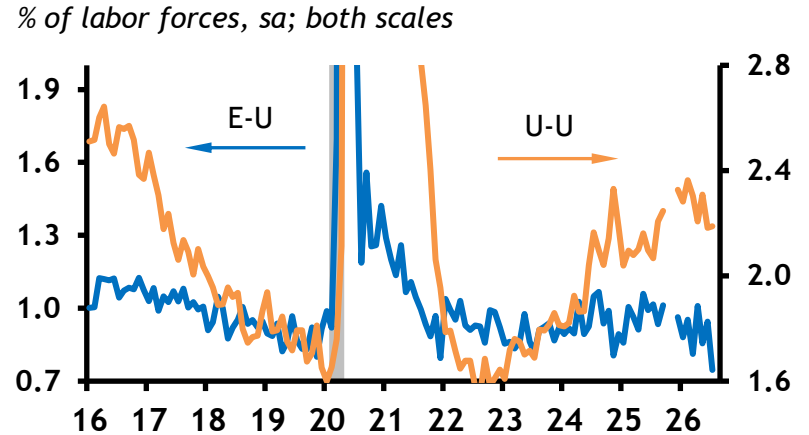
US job stall not aligned with AI disruption story

US employment diffusion indexes



Source: BEA, ISM, S&P Global, J.P. Morgan

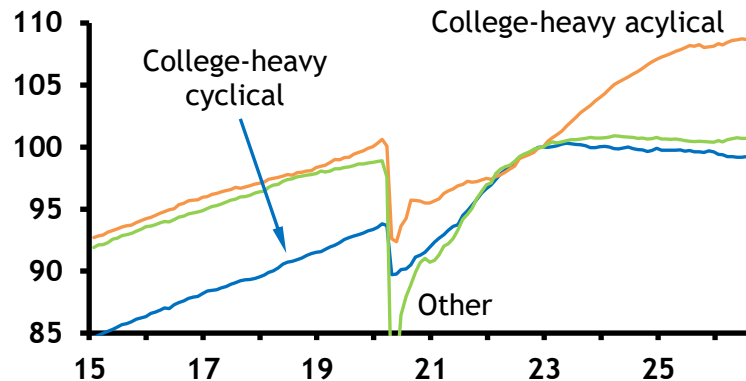
US labor market flows



Source: BLS, J.P. Morgan. Shading denotes US recessions.

Nonfarm payrolls by industry group

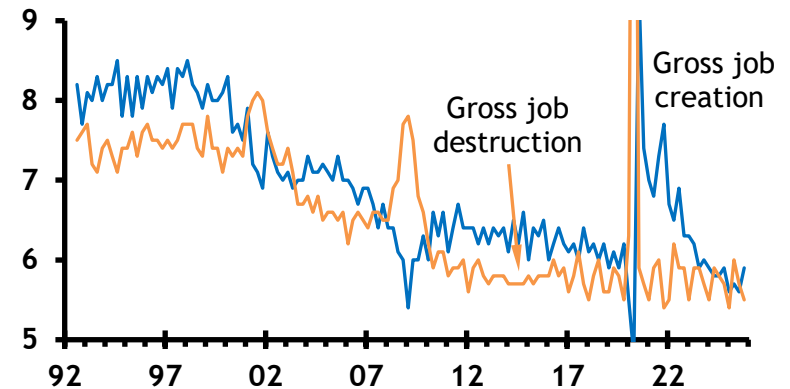
Index, sa, December 2022 = 100



Source: BLS, J.P. Morgan

US private sector job gains and losses

% of employment, sa; through 4Q25

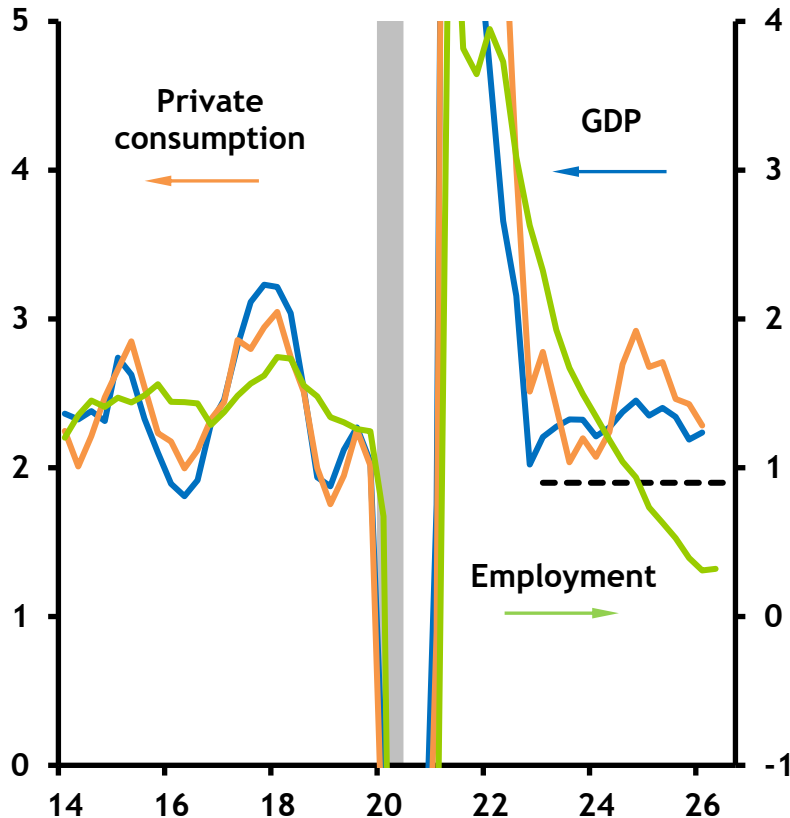


Source: BLS, J.P. Morgan

Household smoothing saved the day ...

Global* activity and employment

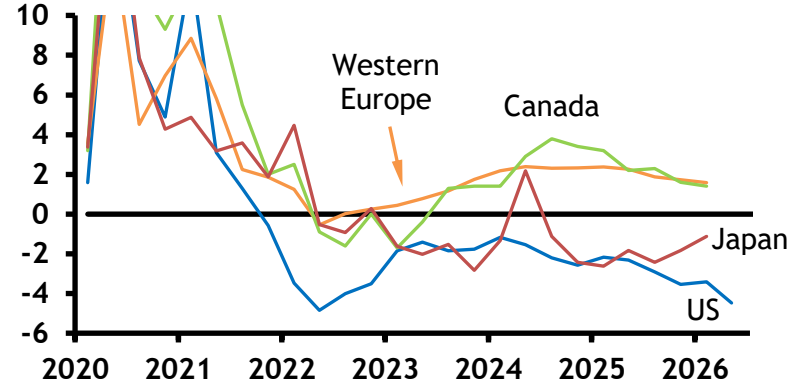
%oya; both scales; Dashed line is potential GDP.



Source: National sources, J.P. Morgan. Details on request. *ex. China

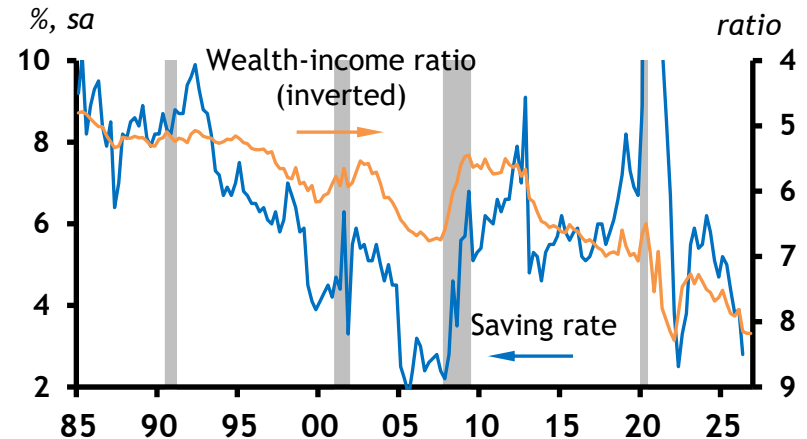
Saving rate dev. from pre-pandemic levels

%-pt deviation from 2019 avg; US thru 2Q26, rest thru 1Q.



Source: BEA, COJ, Eurostat, ONS, J.P. Morgan

Saving rate and wealth-income ratio, US

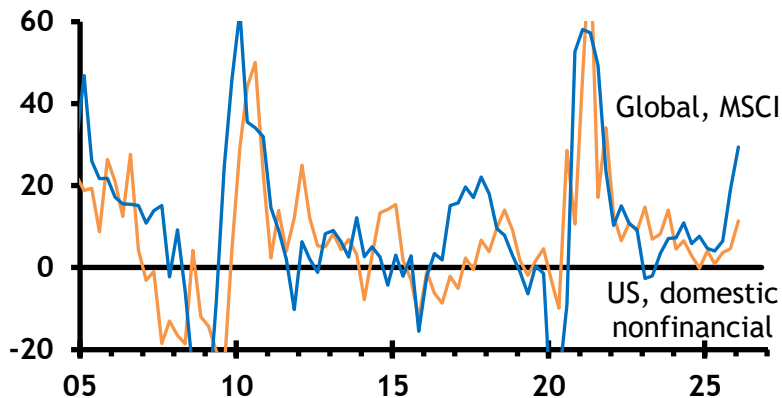


Source: BEA, FRB, J.P. Morgan

... laying groundwork for 1H26 goods sector lift

Global and US corporate profits

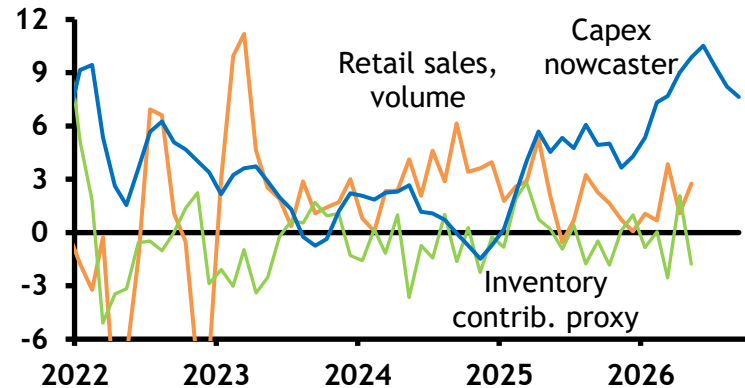
%oya



Source: BEA, DataStream, IBES MSCI, J.P. Morgan

Global capex, retail sales, and inventories

%3m, saar; incl. CapexNow tracking thru 3Q

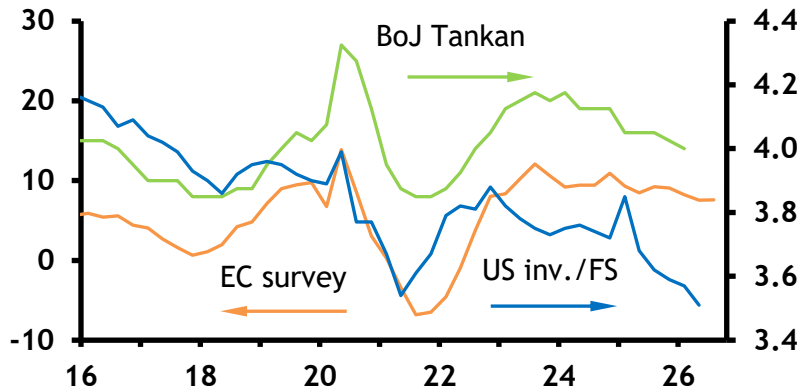


Source: National sources, J.P. Morgan. Details on request.

Assessment of inventory positions

DI, sa (BoJ); % balance (EC srvy)

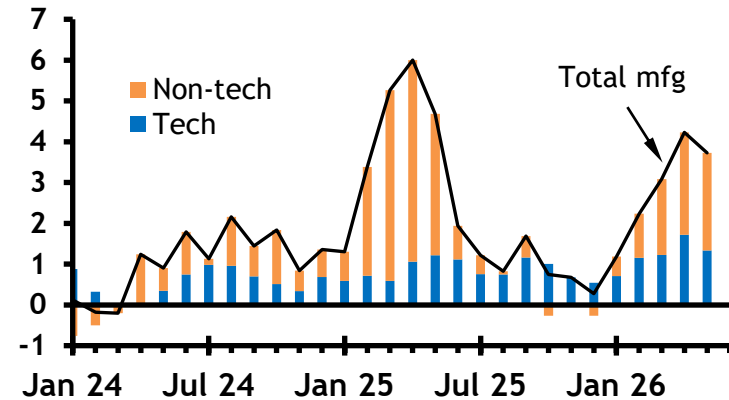
Ratio, saar



Source: BEA, BoJ, European Commission, J.P. Morgan

Global proxy manufacturing output

%-pt contr. to mfg output %3m/3m saar

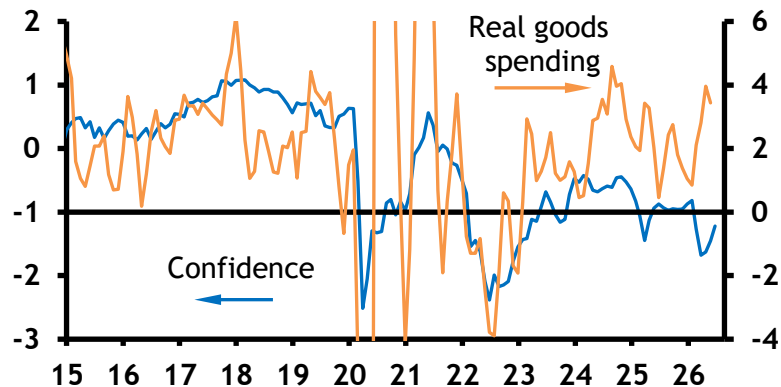


Source: National sources, J.P. Morgan. Details on request.

The mid-2026 test: Consumers bend, oil shock fades

Global* consumer confidence and spending

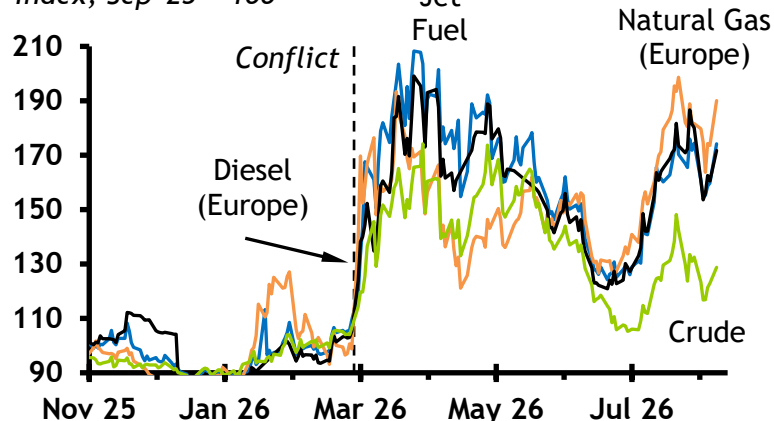
Std. dev from 2010-19 average %3m3m, saar



Source: National sources, J.P. Morgan. Details on request. *Global excluding China.

Petro-based product prices

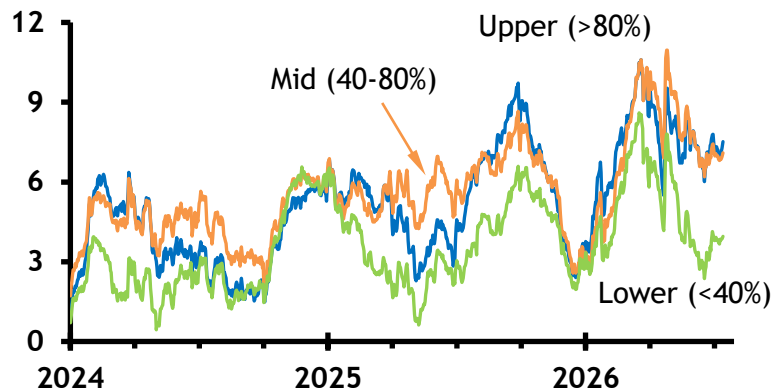
Index, Sep '25 = 100



Source: Bloomberg Finance L.P., J.P. Morgan

US discretionary spending by income

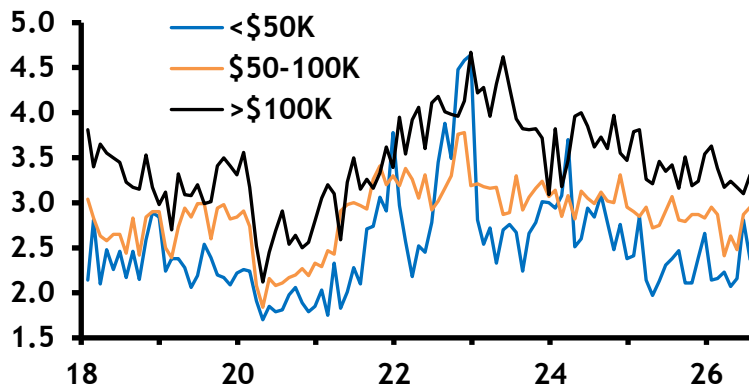
%90d/90d, saar; Nominal (Chase Card Spend Index)



Source: J.P. Morgan; JPMC Index File 2.0; Discretionary excl Gasoline, housing, health, etc

US consumer expectations, income growth

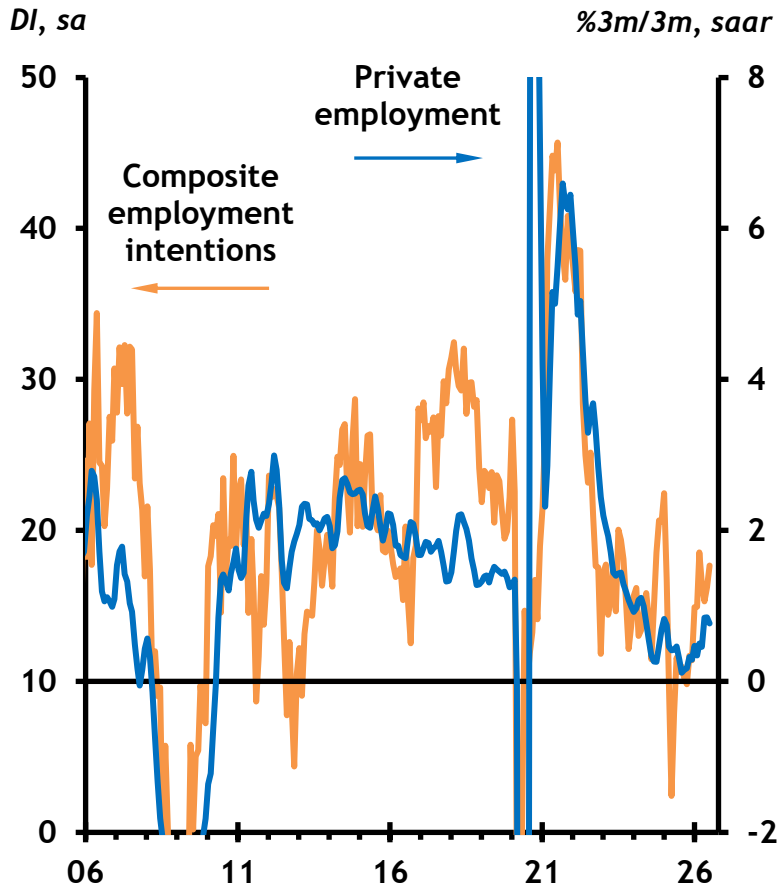
%, median 1-year ahead income growth



Source: FRBNY, J.P. Morgan

The prize: Labor market recoupling

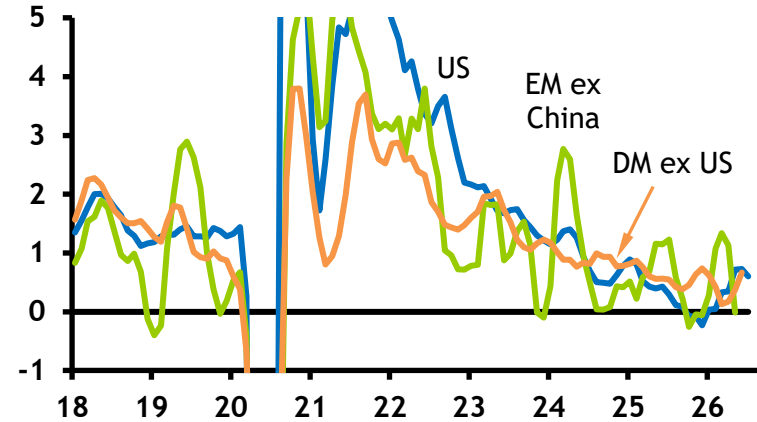
US employment, actual and intentions



Source: BLS, FRB, J.P. Morgan

Global (ex China) employment

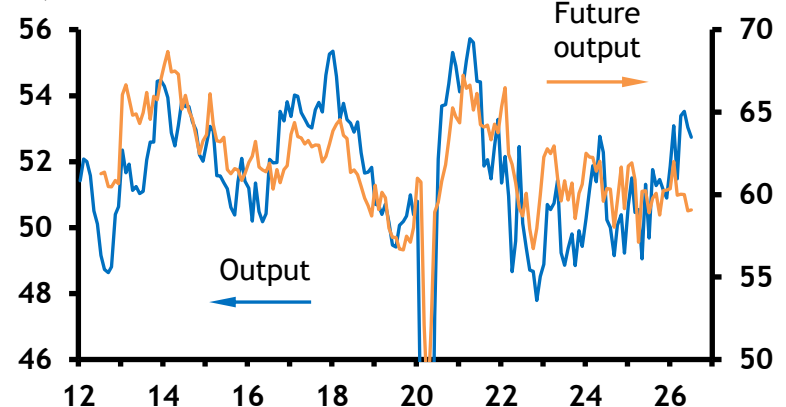
%3m/3m, saar



Source: National sources, J.P. Morgan. Details on request.

Global manufacturing PMIs

DI, both scales

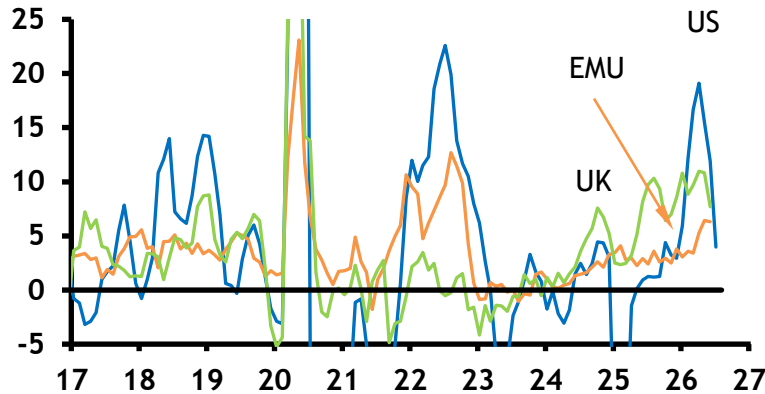


Source: S&P Global, J.P. Morgan

Upside risks related to credit, inventory dynamics

Lending to businesses

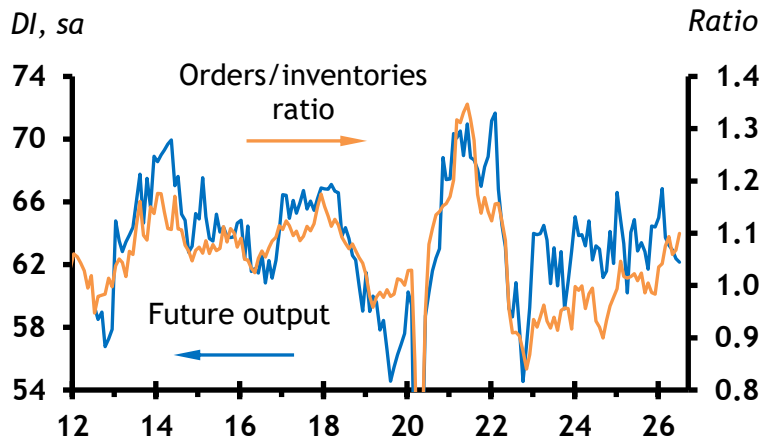
%3m, saar; US incl. July tracking est.



Source: BoE, ECB, FRB, J.P. Morgan

DM manufacturing PMIs

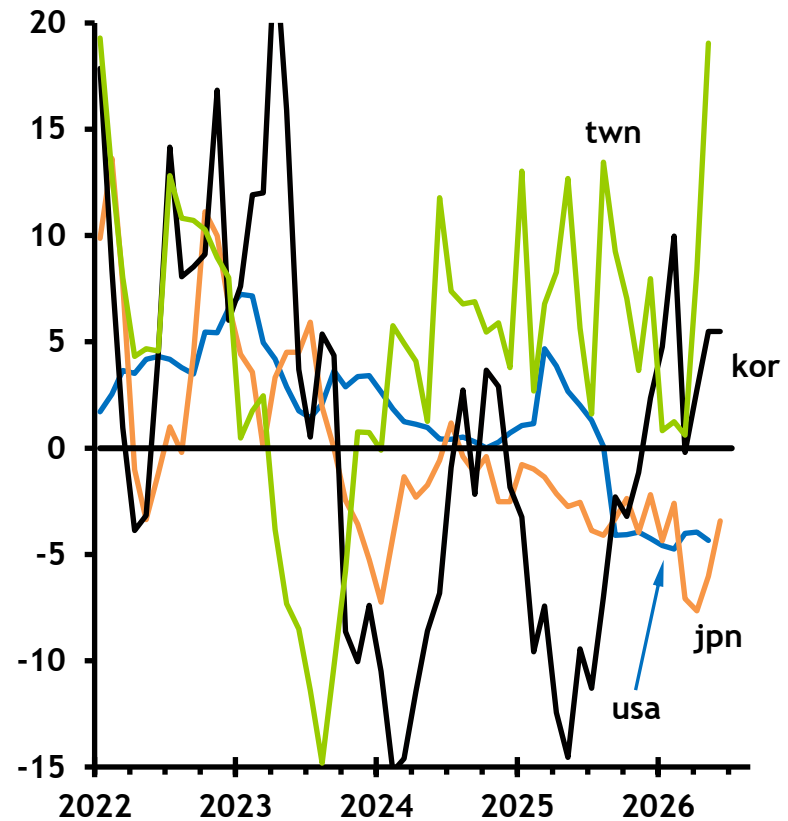
DI, sa



Source: S&P Global, J.P. Morgan

Manufacturing inventories, real

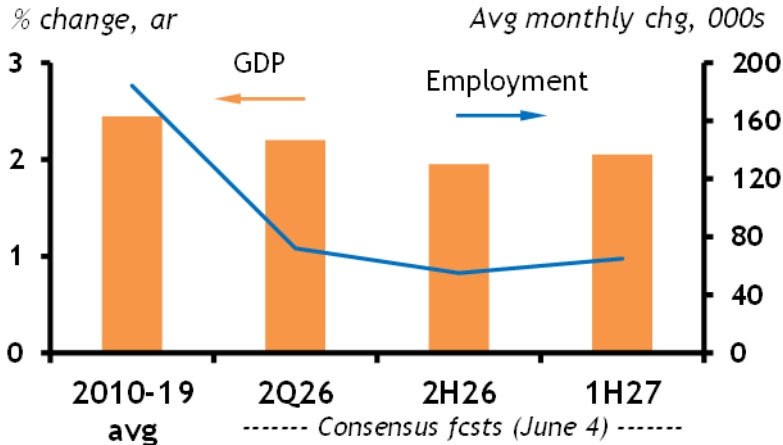
%6m, saar



Source: National sources, J.P. Morgan. Details on request.

Markets, forecasts do not price enough lift

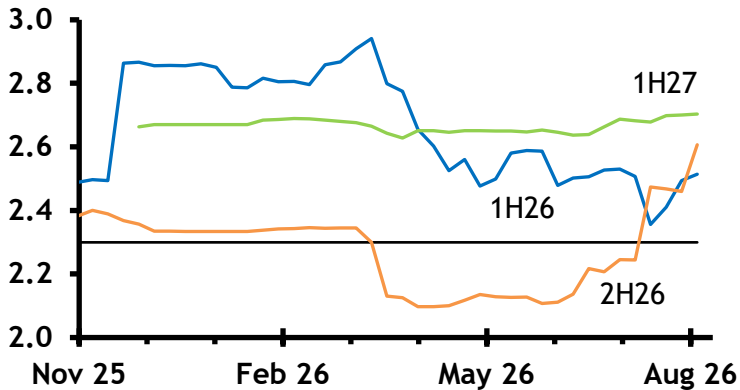
US GDP and employment, consensus forecasts



Source: BEA, Bloomberg Finance L.P., BLS, J.P. Morgan

J.P. Morgan global GDP

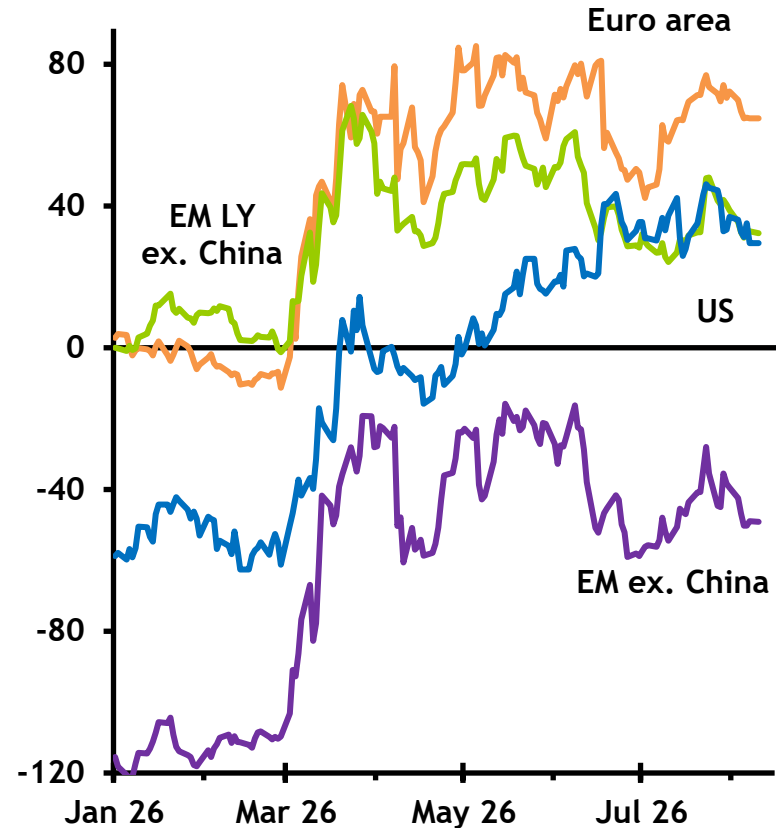
% change saar; fcst by date made, black line at potential



Source: J.P. Morgan Global Economics

Mkt expected chg in policy rate, 2026

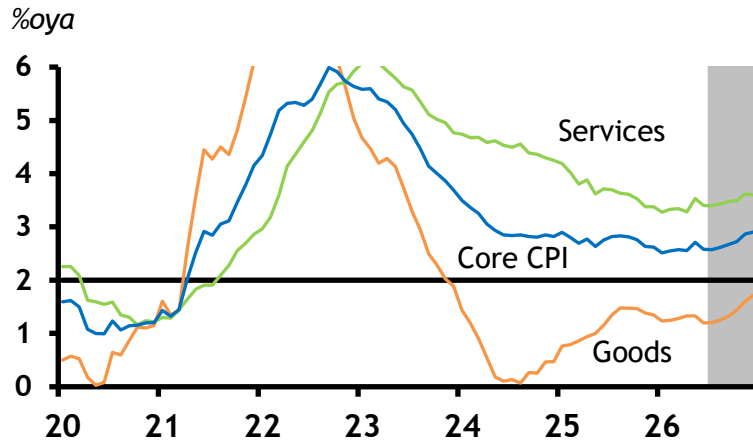
Diff from end-25 policy rate, bp



Source: J.P. Morgan Global Economics

The baseline rub: Sticky inflation and monetary tightening

Global core CPI



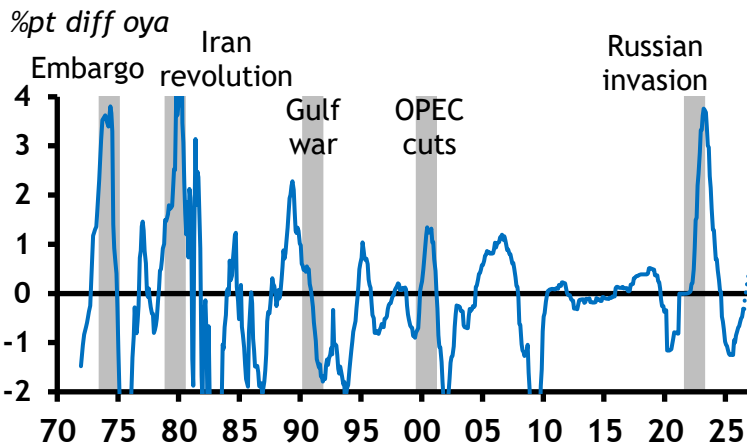
Policy rates and Taylor rule estimates

%p.a., uses JPM forecasts

	4Q25		4Q26	
	Policy rate	Taylor implied	Policy rate	Taylor implied
DM*	3.1	3.2	3.5	3.8
US	3.8	3.8	4.0	4.9
Euro area**	2.0	2.1	2.5	2.3
UK	3.8	4.2	4.0	3.4
Norway	4.0	4.9	4.5	4.9
Sweden	1.8	0.6	2.0	1.9
Canada	2.3	1.7	2.3	1.4
Australia	3.6	4.2	4.4	3.5

Source: National sources, J.P. Morgan. Details on request. *Excludes Japan and New Zealand. **Euro area uses the output gap rule, other countries use the u-rate gap rule.

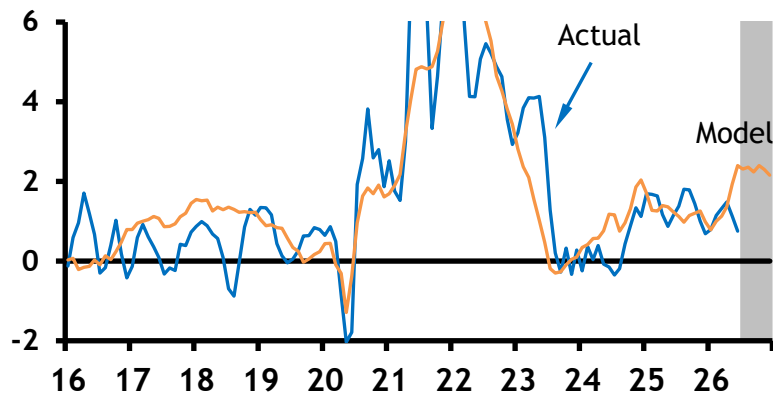
Oil price shocks and DM policy rate



Goods demand, Strait closure boosts core goods prices

Global* core goods CPI model

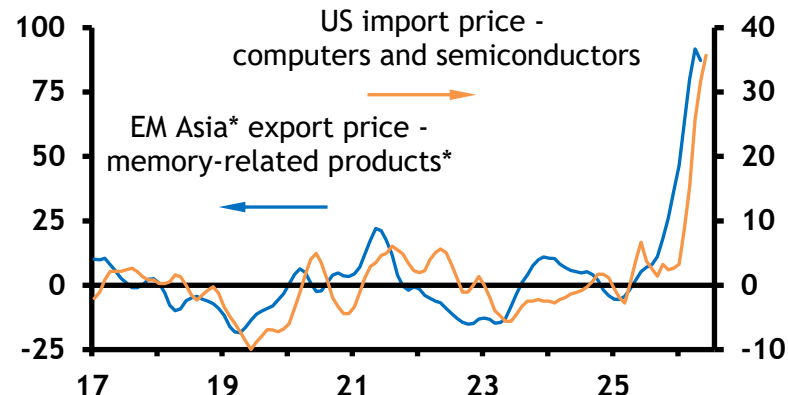
%3m, saar



Source: National sources, J.P. Morgan. Details on request. *Ex. China and Türkiye.

Tech prices

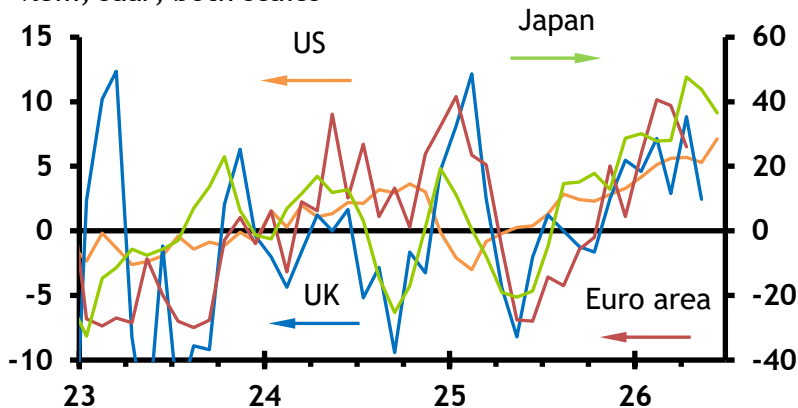
%3m/3m ar, both scales



Source: BLS, BOK, DGBAS, J.P. Morgan *GDP-weighted avg of Korea, Taiwan, Singapore.

G-4 core import prices

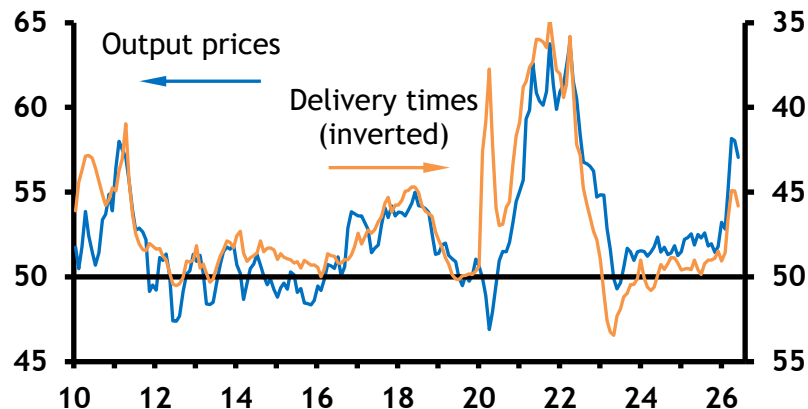
%3m, saar; both scales



Source: National sources, J.P. Morgan. Details on request.

Global mfg PMI, delivery times and prices

DI, sa; both scales



Source: S&P Global, J.P. Morgan

Service price sticky with elevated labor costs

Global core CPI, ex China and Türkiye

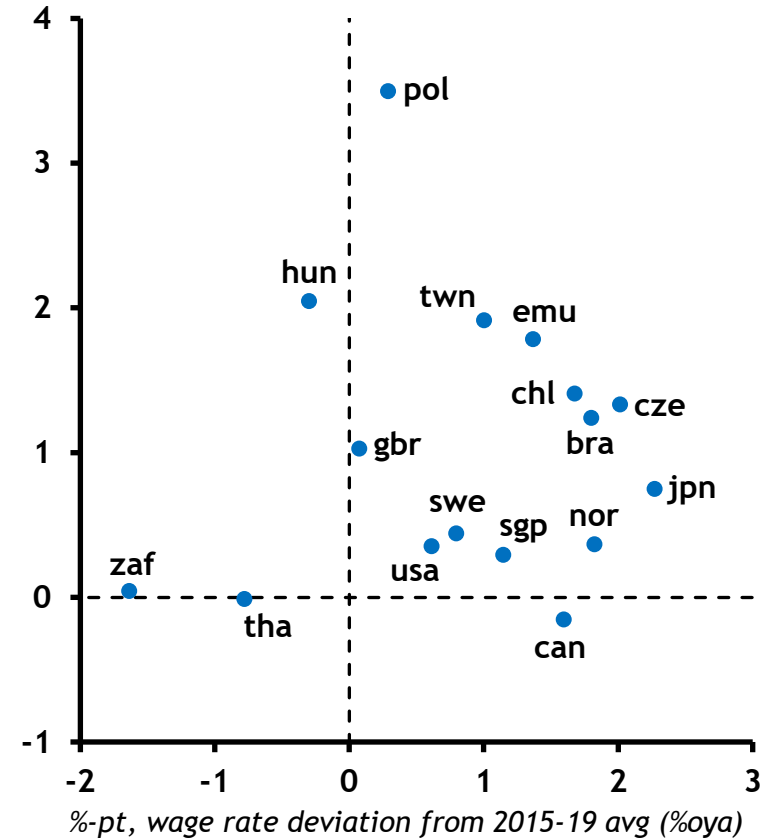
%3m saar



Source: National sources, J.P. Morgan Global Economics. Details on request.

Services prices and wage rates

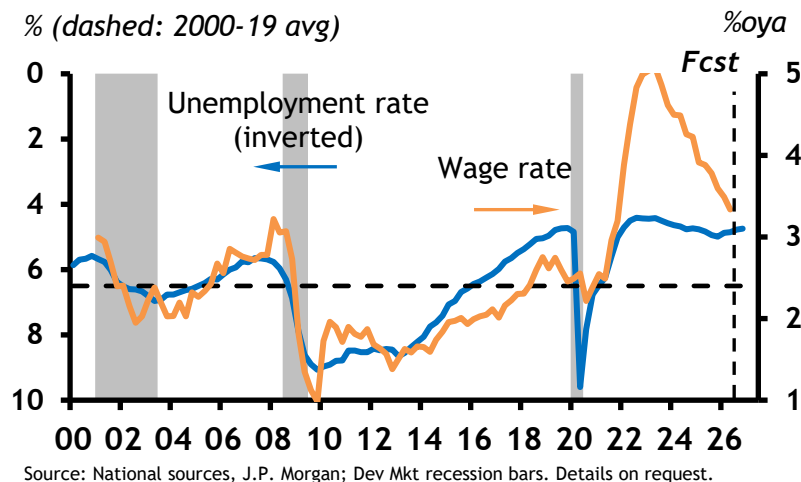
%-pt, services CPI deviation from 2015-19 avg (%oya)



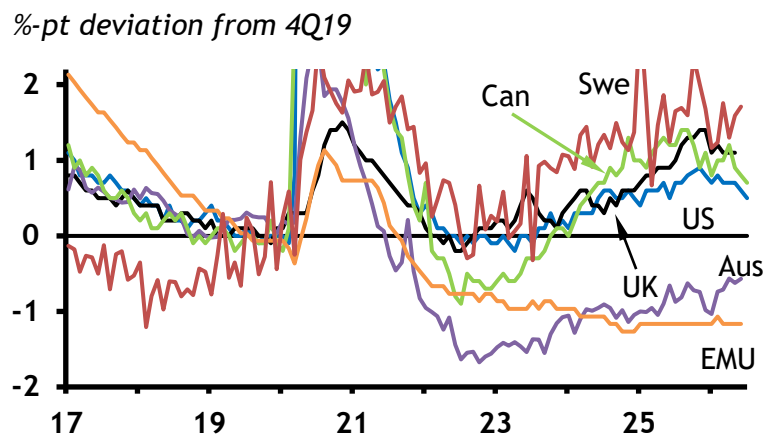
Source: National sources, J.P. Morgan. Details on request.

Wage trajectory down, slack uncertainty up

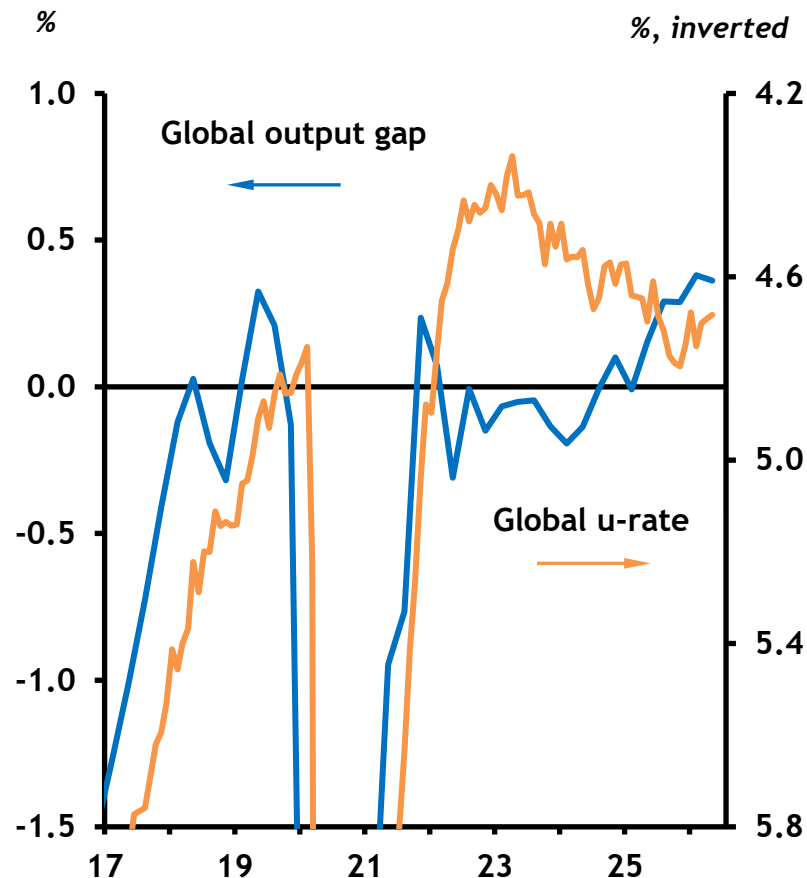
Unemployment and wage rates, DM



DM unemployment rate

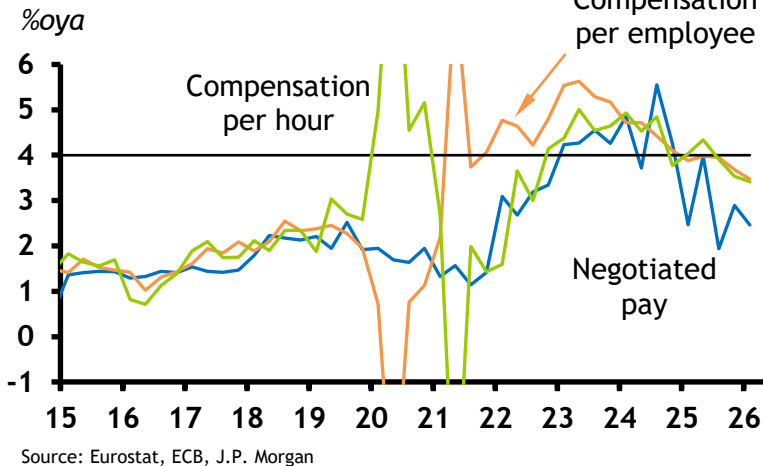


Global output gap and unemployment

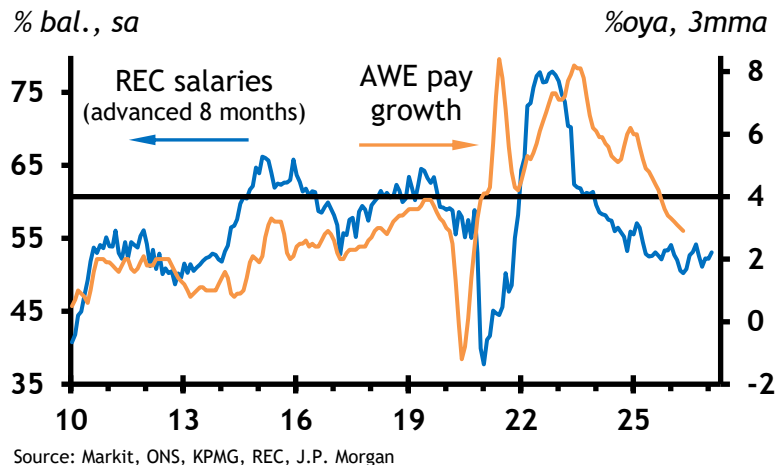


High but falling in WE, low but rising in Japan

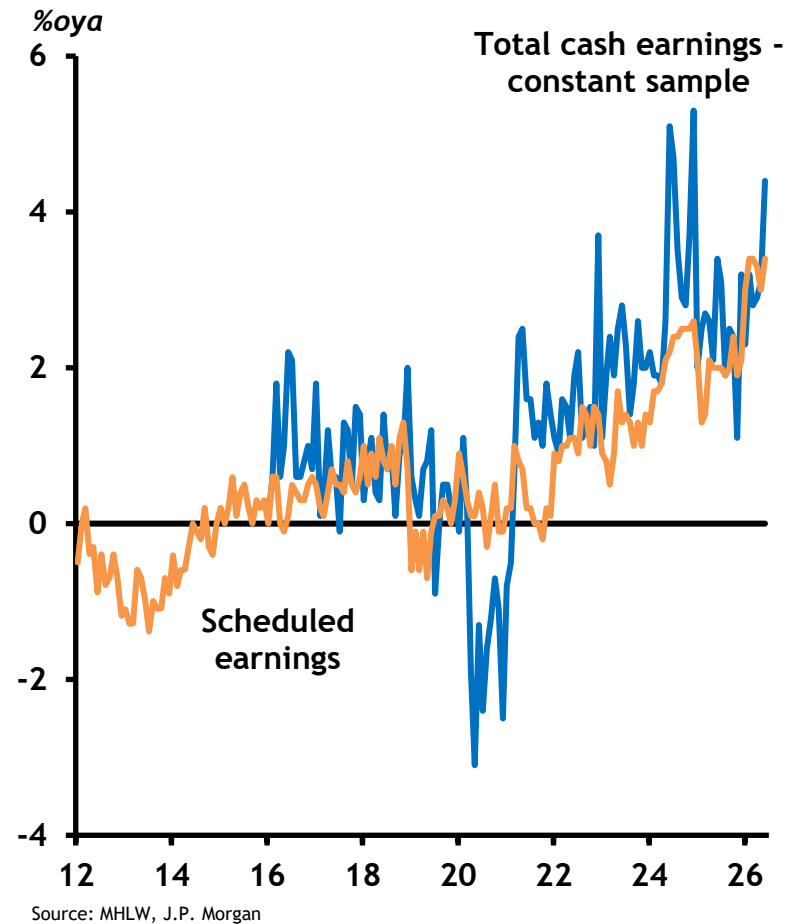
Euro area wage growth



UK REC jobs report vs. official pay growth

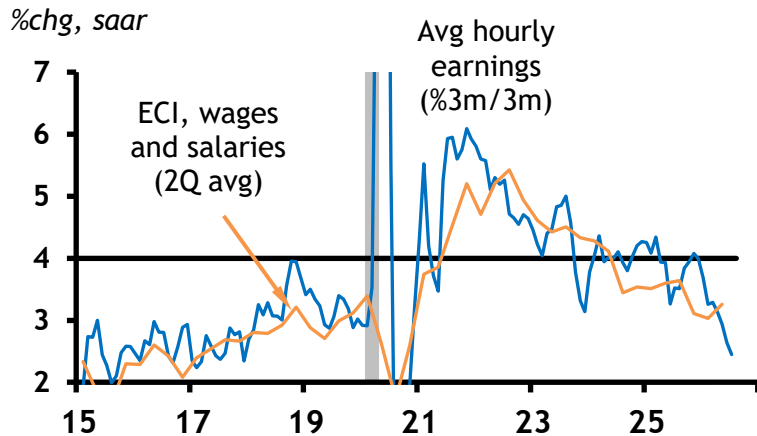


Japan cash earnings



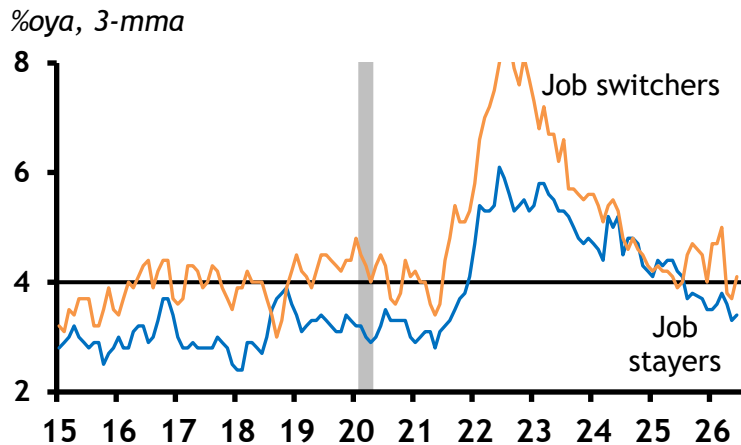
US wage costs not an inflation pressure point ...

Measures of US wage growth



Source: BLS, J.P. Morgan

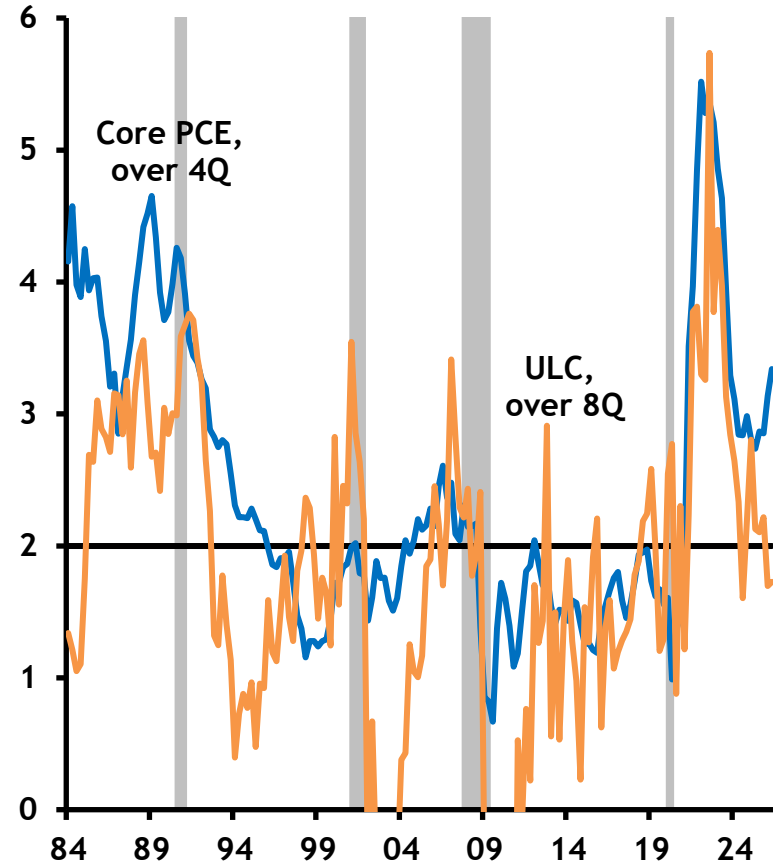
US: Atlanta Fed wage tracker



Source: Atlanta Fed, BLS, J.P. Morgan

US ULC and core PCE deflator

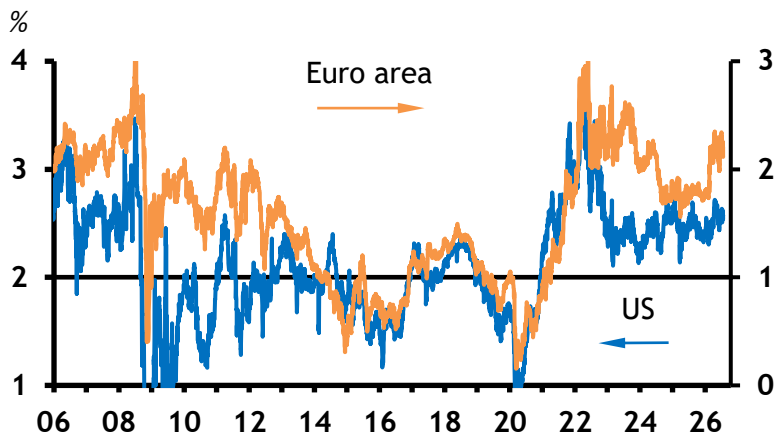
% change, saar; incl 2Q fcst.



Source: BEA, BLS, J.P. Morgan

... but gravitational pull diminished ...

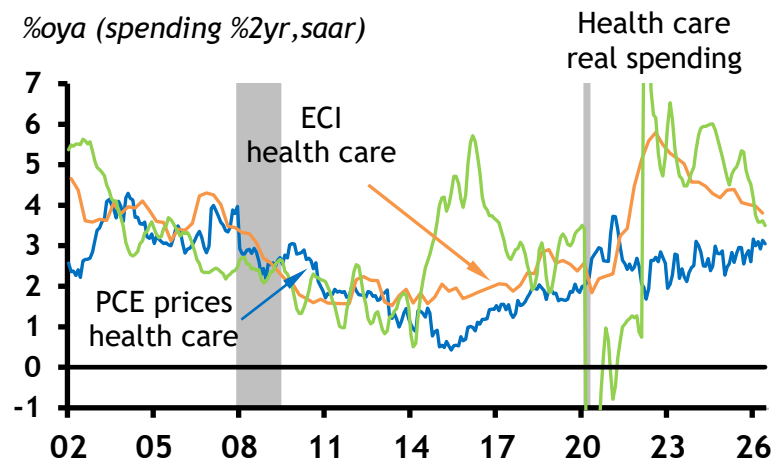
1y1y inflation swaps



Source: J.P. Morgan Global Economics

Health care cost pressures

%oya (spending %2yr, saar)

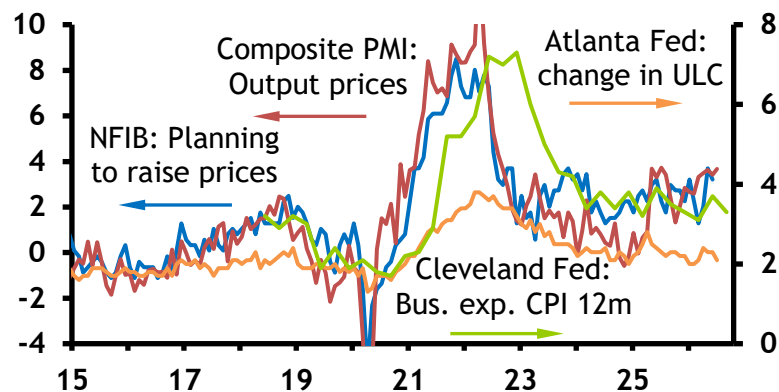


Source: BEA, BLS, J.P. Morgan

Business inflation expectations

Std. dev. from 2010-19 avg.

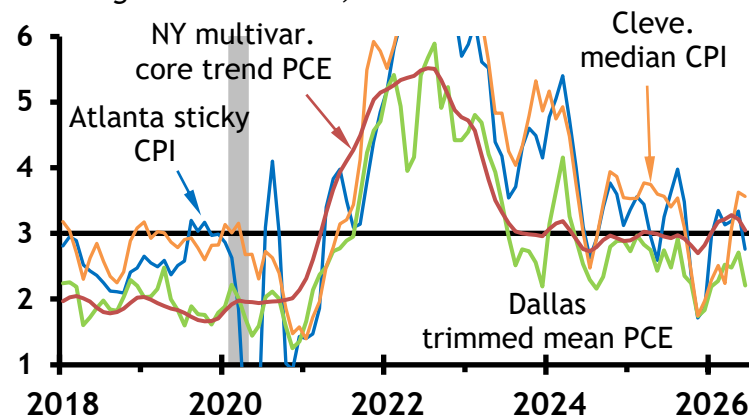
% p.a.



Source: NFIB, Federal Reserve Banks of Cleveland and Atlanta, J.P. Morgan

US inflation, central tendency

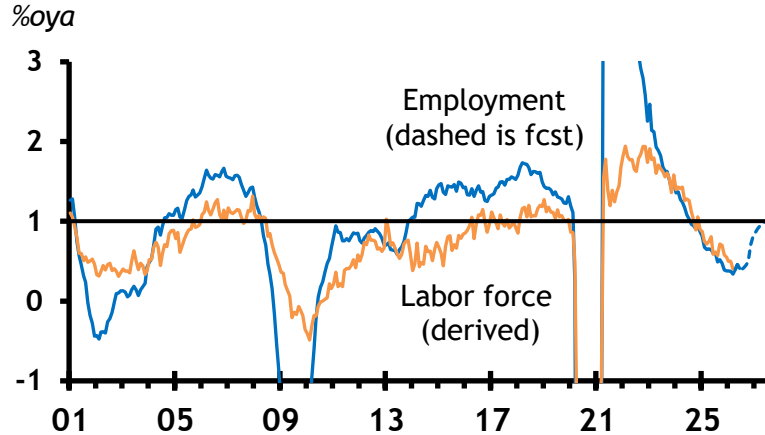
% change over 3 months, saar



Source: FRB, J.P. Morgan

... and labor markets set to tighten

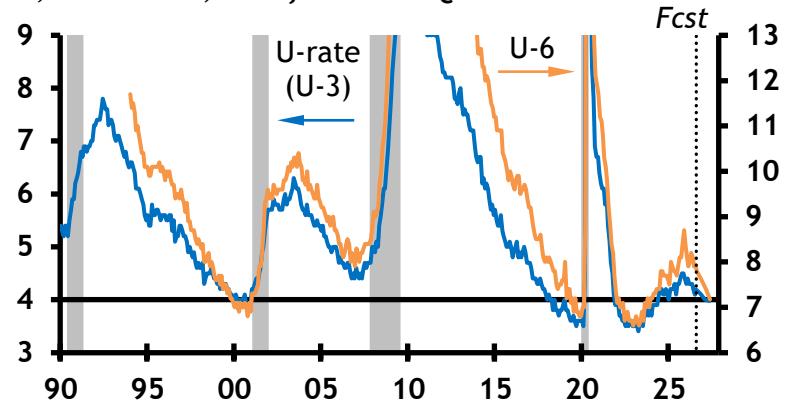
Global (ex China) labor markets



Source: National sources, J.P. Morgan. Details on request.

US labor underutilization

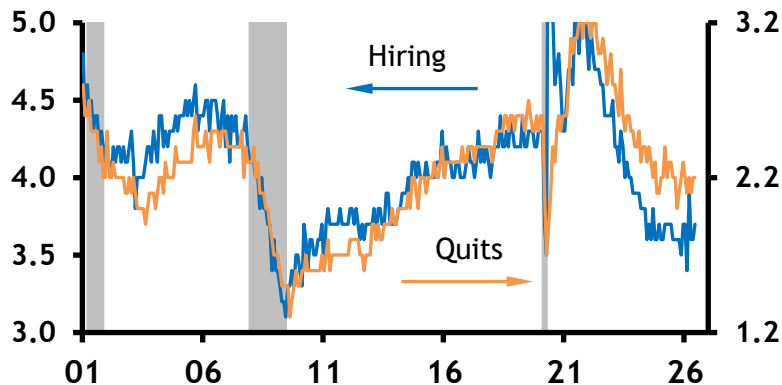
%, both scales; incl. fcst thru 2Q27



Source: BLS, J.P. Morgan. Shading denotes US recessions.

US gross hiring and quits rates

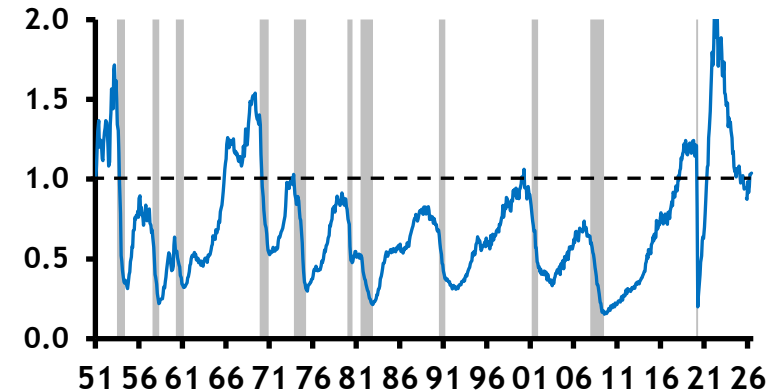
% of labor market, both scales



Source: BLS, J.P. Morgan

US vacancies per unemployed

Ratio



Source: BLS, Barnichon (2010), NBER, J.P. Morgan

3% US core: A tale of three pieces

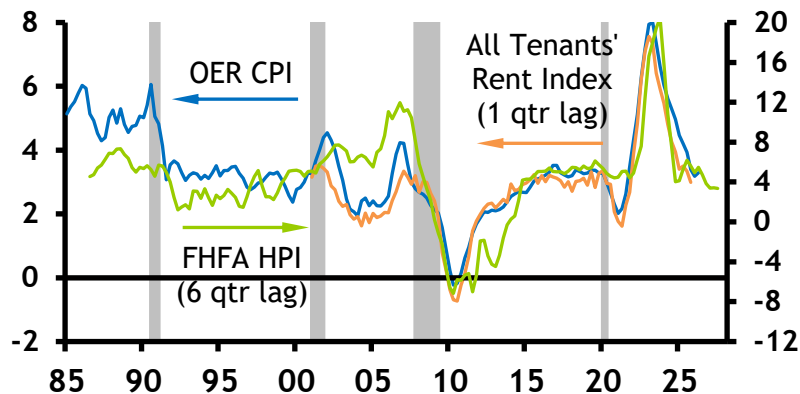
Select categories of US inflation, thru June

	2000-2019 average		%oya		%ytd, saar		%3m, saar	
	CPI	PCE	CPI	PCE	CPI	PCE	CPI	PCE
Core	2.0	1.7	2.6	3.3	2.6	3.8	2.3	2.9
Core goods (24, 25)	0.0	-0.5	0.8	2.1	0.1	3.3	-0.7	1.2
Vehicles and parts (9, 4)	0.4	0.2	-0.3	0.3	-2.3	-1.6	-1.3	-1.0
Other (15, 21)	-0.1	-0.7	1.4	2.5	1.5	4.3	-0.3	1.6
Core services (76, 75)	2.8	2.5	3.2	3.7	3.5	3.9	3.4	3.4
Rent of shelter (44, 17)	2.7	2.8	3.2	3.2	3.6	3.6	4.4	4.3
Supercore (31, 58)	2.8	2.5	3.2	3.8	3.3	4.0	2.1	3.2
Medical care (9, 19)	3.5	2.4	2.0	3.0	1.4	3.7	0.5	2.8
Financial (0, 7)	2.9	3.4	6.0	9.4	10.8	7.3	84.4	6.4
Transportation (8, 4)	2.7	2.1	3.4	7.3	3.2	10.0	-2.4	7.5
Recreation (4, 4)	2.3	2.4	2.7	3.1	1.3	1.2	3.5	1.6
Accommodation (2, 1)	2.0	2.3	4.9	5.0	3.2	2.7	1.9	1.9
Insurance (..., 3)	...	2.9	...	4.2	...	5.3	...	2.7
Food serv. (..., 7)	...	2.8	...	3.4	...	3.0	...	3.3
Other PCE services (..., 9)	...	2.4	...	2.1	...	3.4	...	3.3

Source: BEA, BLS, Haver Analytics, J.P. Morgan. Numbers in parentheses denote CPI and PCE weights in core, respectively. CPI insurance measures contained in medical care and transportation.

Rental inflation and indicators

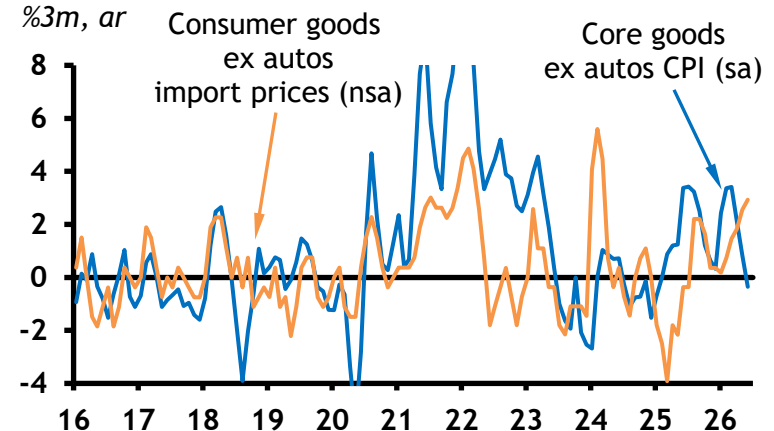
%oya, both axes



Source: BLS, FHFA, J.P. Morgan

US goods ex autos prices

%3m, ar

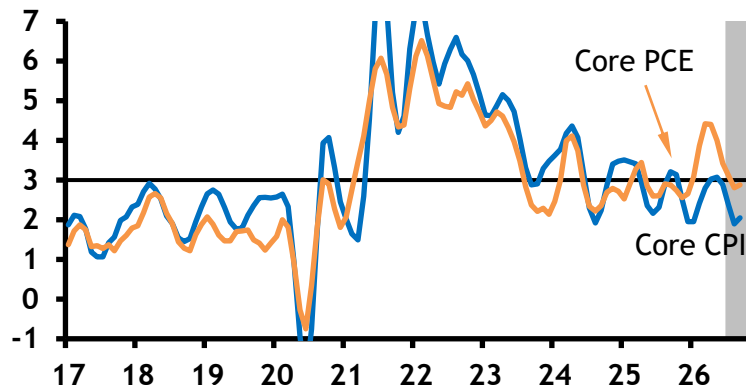


Source: BLS, J.P. Morgan

US core CPI and PCE to converge around midyear

US core inflation

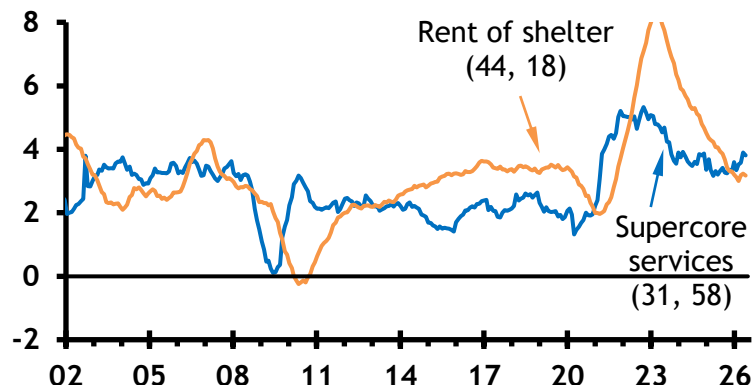
%3m/3m, saar



Source: BEA, BLS, J.P. Morgan

US core PCE prices

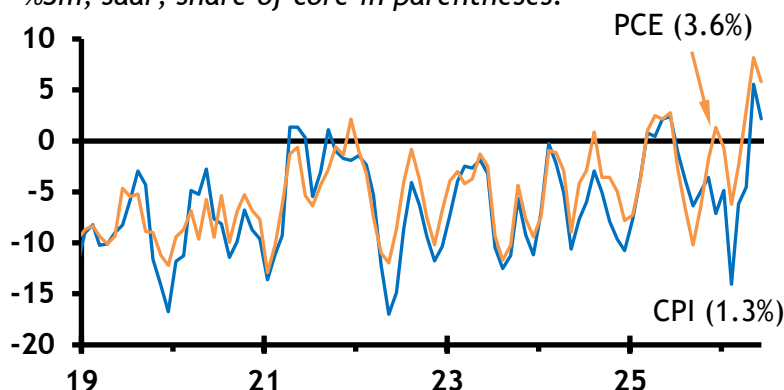
%oya



Source: BEA, J.P. Morgan. Numbers in parentheses denote CPI and PCE weights in core.

US tech* inflation

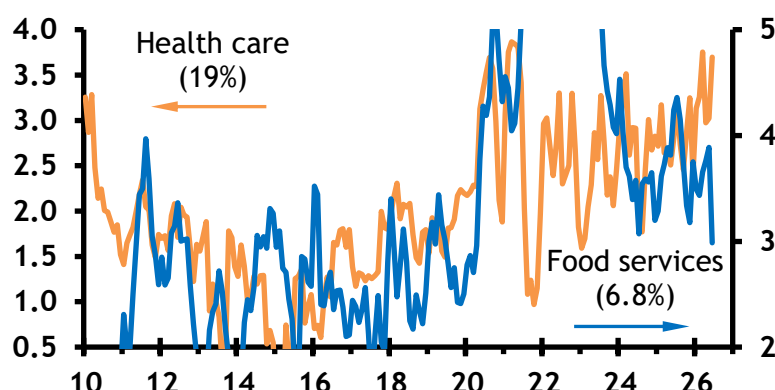
%3m, saar; share of core in parentheses.



Source: BEA, BLS, J.P. Morgan. *aggregate of computers, software, phones, toys.
PCE incl. phone serv.

PCE services inflation

%6m, saar; both scales



Source: BEA, J.P. Morgan. Numbers in parantheses denote PCE weights in core.

Productivity link to cycle is not straightforward

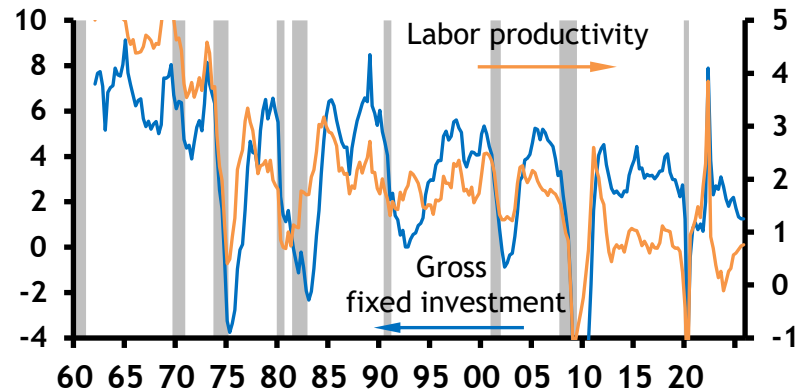
US peak-to-peak performance

Period	GDP (% chg, ar)	Productivity (% chg, ar)	Core CPI (% chg, ar)	Real policy rate (% p.a., avg)
1957-60	2.9	2.2	2.0	0.8
1960-69	4.5	2.7	2.6	1.6
1969-73	3.7	2.9	4.3	1.9
1973-81	2.6	1.3	9.0	0.3
1981-90	3.4	1.7	4.6	4.2
1990-2001	3.3	2.1	2.9	2.1
2001-07	2.6	2.8	2.1	0.8
2007-20	1.8	1.5	1.9	-1.2
2020-present	2.3	2.1	3.7	-0.9

Source: J.P. Morgan Global Economics. Real policy rate is the period average fed funds rate deflated by period average core CPI inflation.

OECD investment and productivity

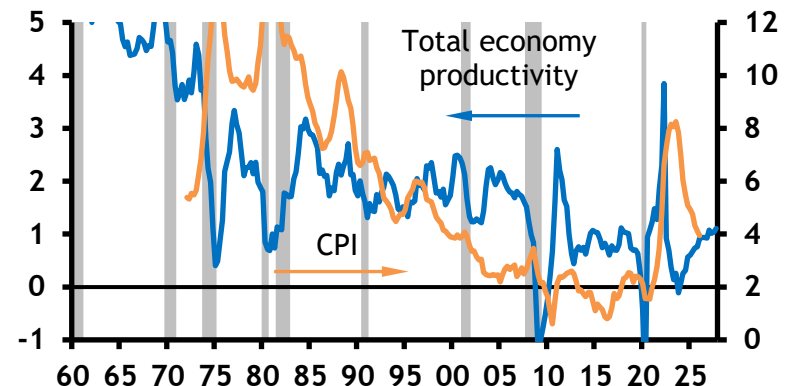
% change over 8Q, saar



Source: OECD, J.P. Morgan. Shaded region is US recession bars.

OECD productivity and CPI

% change over 8q, saar; both scales



Source: OECD, J.P. Morgan

Help coming from front-loaded global fiscal ease

US fiscal: OBBBA, tariffs, and thrust

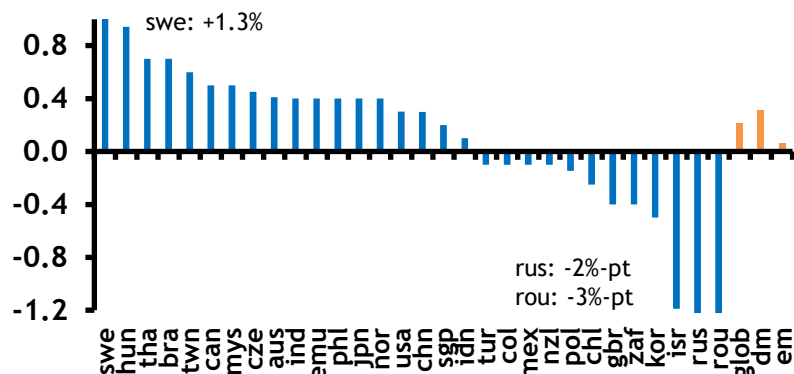
Relative to TCJA extension only baseline (- increases the deficit)

	FY2025	FY2026	Sum
\$ Billion			
Primary (ex-tariffs)	-125	-251	-376
Taxes	-125	-259	-383
Business	-100	-118	-218
Personal	-25	-140	-165
Spending	-0	+8	+8
% of GDP (level)			
Primary (ex-tariffs)	-0.4	-0.8	-1.3
Taxes	-0.4	-0.9	-1.3
Business	-0.3	-0.4	-0.7
Personal	-0.1	-0.5	-0.6
Spending	-0.0	+0.0	+0.0
Thrust (%pt of GDP growth)			
[1] Primary (ex-tariffs)	+0.1	+0.2	+0.3
Taxes	+0.1	+0.2	+0.3
Business (0.25)*	+0.1	+0.0	+0.1
Personal (0.5)*	+0.0	+0.2	+0.2
Spending (1.0)*	+0.0	-0.0	-0.0
MEMO: %-pt in FY govt growth less trend**, thrust			
[3] General Govt Spending	-0.1	-0.1	-0.3

Source: CBO, J.P. Morgan; * Fiscal multiplier shown in parentheses. **Trend assumed 2%, thrust scaled to gov share of GDP (17%).

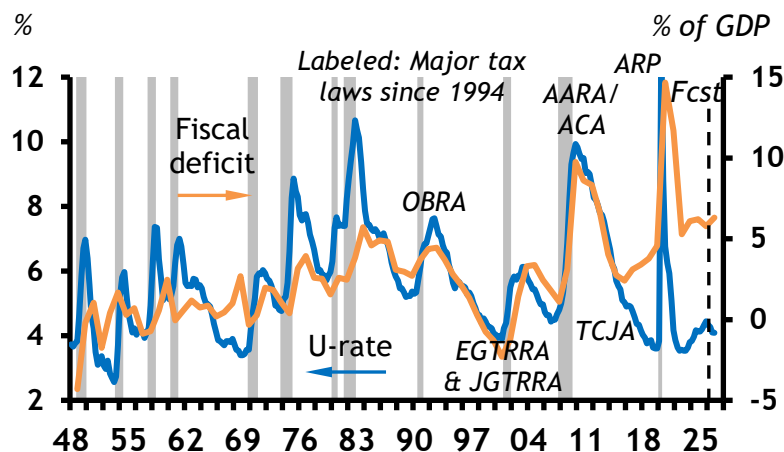
Fiscal thrust, 2026

%-pt contrib to GDP growth (US ex. shutdown and tariffs)



Source: J.P. Morgan Global Economics

US unemployment and fiscal deficit



Source: BLS, OMB, J.P. Morgan

A mild US recession is not a mild event

US peak-to-trough performance

Period	Duration (months)	GDP (% chg)	Unemp rate (%-pt)	Employment (% chg)	Fed Rate (bp)	Memo: Global GDP
1948-49	11	-1.5	+3.0	-4.4	...	...
1953-54	10	-2.4	+3.6	-2.9	...	...
1957-58	8	-3.0	+3.0	-4.1	-229	...
1960-61	10	-1.3	+1.9	-1.7	-169	...
1969-70	11	-0.7	+2.6	-1.0	-337	-0.3
1973-75	16	-3.1	+4.0	-2.7	-369	-1.8
1980	6	-2.2	+1.5	-0.9	-521	-1.1
1981-82	16	-2.5	+3.6	-3.0	-829	-0.5
1990-91	8	-1.4	+2.6	-1.3	-173	0.4
2001	8	-0.1	+2.4	-1.9	-346	-0.1
2007-09	18	-3.8	+5.5	-6.2	-432	-3.9
2020	2	-9.1	+7.5	-11.9	-158	-7.2
Average	10	-2.6	+3.4	-3.5	-356	-1.8

Source: J.P. Morgan Global Economics. Note: Duration and Fed easing are calculated over recession period. GDP drop, unemployment rate, and employment are from peak to trough. This typically lasts longer than the recession period for unemployment rate.

Global Economic Outlook Summary

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.0	2.1	1.5	<u>2.5</u>	1.8	2.3	2.3	2.7	3.8	3.5	1.8
Canada	1.9	0.8	1.6	-0.1	<u>3.0</u>	1.4	1.4	1.7	1.7	2.2	3.0	2.7	1.6
Latin America	2.1	1.9	1.8	1.6	<u>2.9</u>	1.6	2.1	2.1	1.3	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	<u>-1.5</u>	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	<u>2.0</u>	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	1.0	3.2	-1.1	<u>1.2</u>	4.0	3.5	2.5	3.0	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	<u>2.5</u>	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	<u>0.3</u>	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.4	1.7	-2.4	<u>6.1</u>	<u>0.5</u>	2.5	1.0	1.3	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	2.4	<u>2.5</u>	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	<u>0.4</u>	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	3.9	5.6	<u>2.9</u>	3.7	4.1	4.0	4.1	1.2	2.0	2.3	1.9
Japan	1.1	0.9	1.1	1.8	<u>1.9</u>	1.0	1.3	1.0	1.2	2.7	1.5	2.9	2.3
Australia	2.0	2.0	1.8	1.1	<u>1.6</u>	1.5	1.9	1.5	1.7	3.6	3.9	3.9	3.6
New Zealand	0.2	2.1	2.3	3.2	<u>1.2</u>	3.4	1.2	4.0	1.0	3.1	3.8	3.7	2.4
EM Asia	5.2	4.9	4.4	6.5	<u>3.1</u>	4.2	4.7	4.6	4.7	0.9	1.9	2.1	1.7
China	5.0	4.6	4.3	6.3	<u>2.4</u>	<u>4.3</u>	4.9	4.5	4.5	0.6	1.1	1.0	0.7
India	7.7	6.5	6.3	8.0	<u>5.1</u>	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.9	3.8	6.0	<u>4.1</u>	3.7	3.2	4.0	4.1	1.8	2.9	3.2	2.3
Hong Kong	3.6	3.4	2.9	12.1	-2.4	<u>2.8</u>	2.8	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0	4.9	5.3	5.1	<u>3.7</u>	2.9	6.0	5.8	2.8	2.9	3.4	2.7
Korea	1.1	3.8	3.3	7.5	2.5	<u>4.0</u>	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.3	4.5	1.7	8.5	<u>5.0</u>	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5	5.3	3.8	<u>2.3</u>	6.5	7.0	4.1	5.5	1.7	6.8	6.5	3.8
Singapore	5.0	4.6	2.5	5.3	4.6	<u>1.0</u>	1.0	3.0	3.0	1.2	1.7	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	9.9	<u>3.2</u>	3.2	4.0	4.0	1.3	2.2	2.2	1.7
Thailand	2.4	2.8	2.5	2.7	<u>0.8</u>	2.8	2.8	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	1.3	1.0	1.4	0.4	<u>1.8</u>	1.2	1.4	1.5	1.5	2.3	2.9	3.0	2.1
Euro area	1.3	0.9	1.4	0.0	1.8	<u>1.3</u>	1.5	1.5	1.5	2.1	3.0	3.1	2.0
Germany	0.3	1.0	1.5	1.7	0.9	<u>1.3</u>	1.8	1.8	1.8	2.3	2.6	2.5	1.9
France	0.9	0.6	1.1	-0.6	0.7	<u>0.8</u>	1.3	1.3	1.0	0.8	2.4	2.9	1.8
Italy	0.7	0.9	0.6	1.3	0.8	<u>0.8</u>	0.8	0.8	0.5	1.2	3.0	3.9	1.8
Spain	2.8	2.7	2.2	2.5	2.9	<u>3.0</u>	2.5	2.0	1.8	3.1	3.6	3.3	2.4
Norway	1.7	1.0	1.6	0.6	<u>1.4</u>	1.8	1.8	1.8	1.5	3.1	3.1	2.9	2.1
Sweden	1.7	2.4	2.1	-0.6	5.7	<u>2.0</u>	2.3	2.0	1.8	0.5	0.5	1.3	1.9
United Kingdom	1.3	1.2	1.2	2.5	<u>1.5</u>	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	1.9	2.8	-0.6	<u>3.5</u>	3.0	2.9	2.7	2.4	10.6	10.4	9.9	8.5
Czech Republic	2.5	2.1	2.2	0.8	1.5	<u>2.3</u>	2.5	2.1	2.1	2.2	2.0	2.2	2.2
Hungary	0.4	2.1	2.9	3.2	1.6	<u>3.0</u>	2.8	3.0	3.3	3.8	1.9	1.7	2.5
Israel	2.9	3.6	4.2	-3.8	<u>10.5</u>	5.5	3.8	3.5	3.5	2.5	1.8	1.9	1.7
Poland	3.6	3.4	2.9	2.4	<u>4.3</u>	3.3	3.0	2.8	2.5	2.6	2.9	3.2	3.3
Romania	0.7	0.0	3.0	0.0	<u>3.4</u>	3.6	3.2	2.8	2.4	9.7	10.7	5.4	4.3
Russia	1.0	0.5	1.6	-3.1	<u>2.3</u>	1.0	2.0	1.5	1.5	6.6	5.6	6.6	6.2
South Africa	1.1	1.1	1.4	2.2	<u>0.0</u>	1.5	1.2	1.6	1.6	3.6	4.5	4.5	3.3
Türkiye	3.6	3.0	4.6	0.5	<u>4.0</u>	5.5	4.6	4.5	3.5	31.6	32.4	29.6	24.0
Global	2.8	2.6	2.6	2.7	<u>2.3</u>	2.6	2.6	2.7	2.7	2.7	3.4	3.4	2.4
Developed markets	1.7	1.6	1.7	1.4	<u>1.7</u>	1.9	1.6	1.9	1.8	2.6	3.3	3.2	2.0
Emerging markets	4.2	4.0	3.8	4.7	<u>3.1</u>	3.7	4.0	4.0	3.8	2.8	3.5	3.6	3.0
Emerging ex China	3.6	3.5	3.4	3.3	<u>3.8</u>	3.1	3.3	3.5	3.3	4.7	5.6	5.8	5.0
Global — PPP weighted	3.3	3.0	3.0	3.2	<u>2.6</u>	2.8	3.0	3.1	3.0	2.9	3.7	3.8	2.9

J.P. Morgan US forecast

	%q/q, saar								%q4/q4			%y/y		
	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	2025	2026	2027	2025	2026	2027
Gross domestic product														
1. Real GDP	0.5	2.1	1.5	2.5	1.8	2.3	2.3	1.8	2.0	2.0	2.0	2.1	2.1	2.0
2. Final sales	0.3	1.9	2.2	1.2	1.2	2.2	2.2	1.8	2.2	1.6	2.0	2.2	2.2	1.8
3. Domestic	0.6	2.2	3.1	2.4	2.2	2.4	2.4	1.9	1.8	2.5	2.2	2.4	2.2	2.3
4. Consumer spending	1.9	0.5	3.2	1.8	1.5	2.0	2.0	1.5	2.1	1.7	1.7	2.6	2.0	1.9
5. Business investment	2.4	10.6	8.4	6.4	6.4	4.6	4.6	3.7	5.6	8.0	4.1	4.1	6.7	5.2
6. Equipment	4.3	15.8	15.2	10.0	10.0	5.0	5.0	4.0	9.6	12.7	4.5	8.3	10.6	6.9
7. Structures	-6.5	-4.7	-5.0	-4.0	-4.0	2.0	2.0	2.0	-5.5	-4.4	2.0	-5.3	-5.2	-0.4
8. Intellectual property products	5.4	13.8	8.8	7.0	7.0	5.0	5.0	4.0	8.0	9.1	4.5	5.6	9.0	5.6
9. Residential investment	-1.7	-7.8	1.5	0.0	0.0	4.0	6.0	3.0	-3.8	-1.6	4.0	-2.2	-3.3	2.8
10. Government	-5.6	4.4	-0.8	1.4	1.4	1.5	1.5	1.5	-1.2	1.6	1.5	1.1	0.4	1.3
11. Net exports (\$bn, chained \$2009)	-969	-1002	-1075	-1151	-1219	-1239	-1258	-1272	-	-	-	-	-	-
12. Exports (goods and services)	-3.2	10.9	4.5	2.5	2.5	1.5	1.5	1.0	1.1	5.0	1.2	1.6	4.4	1.9
13. Imports (goods and services)	-1.0	11.8	11.5	10.0	9.0	3.0	3.0	2.0	-1.9	10.6	2.5	2.7	3.7	5.2
14. Inventories (ch \$bn, chained \$2009)	-15.6	-16.7	-50.8	27.4	63.0	67.7	68.7	67.6	-	-	-	-	-	-
Contribution to real GDP growth (% pts):														
15. Domestic final sales	0.6	2.2	3.2	2.4	2.3	2.5	2.6	2.0	1.8	2.5	2.2	2.4	2.2	2.3
16. Net exports	-0.2	-0.4	-1.0	-1.2	-1.1	-0.3	-0.3	-0.2	0.4	-0.9	-0.2	-0.1	0.0	-0.5
17. Inventories	0.1	0.2	-0.7	1.3	0.6	0.1	0.0	0.0	-0.2	0.4	0.0	-0.1	-0.1	0.2
Income and profits (NIPA basis)														
18. Adjusted corp profits	26.3	7.0	14.4	8.6	8.2	7.2	6.3	6.8	6.4	9.5	6.3	7.3	13.1	7.6
19. Real disposable personal income	-0.9	0.9	-1.5	0.7	0.8	1.4	1.7	1.1	1.0	0.2	1.5	1.7	0.2	1.1
20. Nominal disposable personal income		5.5	3.6	3.3	3.7	3.4	3.9	3.8	3.9	4.0	3.8	4.3	3.8	3.6
21. Saving rate ¹	3.8	3.9	2.8	2.6	2.4	2.3	2.2	2.1	-	-	-	4.6	2.9	2.2
Prices and labor cost														
22. Consumer price index	2.5	3.6	6.1	1.7	2.6	1.3	1.7	2.6	2.7	3.5	2.1	2.7	3.4	2.2
23. Core	2.0	2.8	2.9	2.1	2.8	2.6	2.5	2.6	2.7	2.6	2.6	2.9	2.6	2.6
26. PCE deflator	2.9	4.6	5.1	2.6	2.9	1.9	2.1	2.7	2.8	3.8	2.4	2.6	3.6	2.6
27. Core	2.7	4.4	3.4	2.9	3.1	2.8	2.6	2.7	2.9	3.4	2.7	2.8	3.3	2.8
28. GDP chain-type price index	3.7	3.6	6.2	2.6	2.9	1.9	2.1	2.7	3.3	3.8	2.4	2.8	3.9	2.6
29. S&P/C-S house price index (%oya)	1.3	0.8	0.9	0.0	0.0	3.0	3.0	3.0	1.3	0.0	3.0	2.2	0.4	3.0
30. Employment Cost Index	3.0	3.7	3.0	3.0	3.1	3.2	3.3	3.4	3.4	3.2	3.3	3.5	3.3	3.2
31. Productivity	1.6	0.3	0.3	2.6	1.3	2.4	2.0	1.6	2.5	1.1	1.7	2.3	1.7	1.8
Other indicators														
32. Housing starts (mn units, saar) ¹	1.32	1.42	1.35	1.35	1.35	1.35	1.40	1.40	-	-	-	1.36	1.37	1.39
33. Industrial production, mfg.	-3.6	1.4	4.7	1.2	1.0	1.0	1.0	1.0	1.3	2.1	1.0	0.8	1.2	1.3
35. Light vehicle sales (mn units, saar) ¹	15.7	15.5	16.3	15.5	15.5	15.8	15.8	15.8	-	-	-	16.2	15.7	15.8
36. Unemployment rate	4.5	4.3	4.3	4.1	4.1	4.0	4.0	4.0	-	-	-	4.3	4.2	4.0
37. Payroll employment (ch, '000s, samr) ¹	-30	43	115	50	100	100	50	50	-	-	-	26	77	63
38. Nominal GDP	4.2	5.8	7.9	5.1	4.7	4.2	4.4	4.5	5.4	5.9	4.4	5.0	6.0	4.7
39. Current account balance (\$bn) ¹	-221	-227	-257	-266	-275	-285	-285	-285	-	-	-	-1177	-1025	-1140
40. % of GDP	-2.8	-2.8	-3.2	-3.2	-3.3	-3.4	-3.4	-3.3	-	-	-	-3.8	-3.1	-3.3
41. Federal budget balance (\$bn) ¹	-	-	-	-	-	-	-	-	-	-	-	-1775	-2020	-1960
42. % of GDP	-	-	-	-	-	-	-	-	-	-	-	-5.8	-6.3	-5.8

Global Central Bank Watch: J.P. Morgan and Market

Policy rates: next meeting, next change

Global			Change since (bps)		Next Mtg (bps)			
	Official rate	Current rate	4Q19	4Q23	Date	JPM Fcst	Mkt Fcst	JPM - Mkt
Global		3.91	182	-140				
Developed		3.08	228	-148				
US	Fed funds	3.75	200	-175	16-Sep-26	On hold	+11	-11
EMU	Depo rate	2.25	275	-175	10-Sep-26	+25	+22	3
Japan	Call rate	1.00	110	110	18-Sep-26	On hold	+16	-16
UK	Bank rate	3.75	300	-150	17-Sep-26	On hold	+15	-15
Norway	Dep rate	4.25	275	-25	13-Aug-26	On hold	+4	-4
Sweden	Repo rate	1.75	175	-225	20-Aug-26	On hold	+2	-2
Canada	O/N rate	2.25	50	-275	02-Sep-26	On hold	+4	-4
Australia	Cash rate	4.35	359	0	11-Aug-26	On hold	+1	-1
New Zealand	Cash rate	2.50	150	-300	02-Sep-26	+25	+23	2
Emerging		5.26	88	-118				
EM Low Yield		1.97	-158	-118				
EM High Yield		11.62	563	-130				
EM HY Ex-RU		11.17	524	-117				
EM Asia		1.54	-238	-102				
China	7d Rev Repo	1.40	-295	-110	Unsch.	On hold	--	
Hong Kong	Disc. wndw	4.00	150	-175	Unsch.	On hold	--	
India	Repo rate	5.25	9	-125	07-Oct-26	On hold	+11	-11
Indonesia	BI IRR	5.75	75	-25	19-Aug-26	On hold	--	
Korea	Base rate	2.75	150	-75	27-Aug-26	+25	+10	15
Malaysia	O/N rate	2.75	-25	-25	03-Sep-26	On hold	+1	-1
Philippines	Rev repo	4.75	75	-175	27-Aug-26	+25	--	
Taiwan	Official disc.	2.00	62	12	17-Sep-26	On hold	+3	-3
Thailand	1-day repo	1.00	-25	-150	26-Aug-26	On hold	+4	-4
EMEA EM		15.74	978	-233				
Czechia	2-wk repo	3.75	175	-300	17-Sep-26	On hold	+13	-13
Hungary	base rate	5.75	484	-500	25-Aug-26	-25bp	-16	-9
Israel	Base rate	3.50	325	-125	01-Sep-26	-25bp	-38	13
Poland	7-day interv	3.75	225	-200	02-Sep-26	On hold	-3	3
Romania	Base rate	6.50	400	-50	10-Aug-26	On hold	--	
Russia	1-day min repo	14.00	775	-200	11-Sep-26	-25bp	-31	6
South Africa	Repo rate	7.00	50	-125	23-Sep-26	+25	+13	12
Turkey	1-wk repo	37.00	2500	-550	10-Sep-26	On hold	+66	-66
LATAM		9.91	488	-123				
Brazil	SELIC O/N	14.00	950	225	16-Sep-26	-25bp	--	
Chile	Disc rate	4.50	275	-375	08-Sep-26	On hold	0	0
Colombia	Repo rate	12.00	775	-100	30-Sep-26	On hold	+19	-19
Mexico	Repo rate	6.50	-75	-475	24-Sep-26	On hold	+2	-2
Peru	Reference	4.25	200	-250	13-Aug-26	On hold	--	

*Next change after forecast horizon. -- market-based policy rate forecast is unavailable.

Policy Rate: J.P. Morgan and Market

		Basis point change from current											
	Current	End 3Q26			End 4Q26			End 2Q27			End 4Q27		
	%pa	JPM	Mkt	JPM-Mkt	JPM	Mkt	JPM-Mkt	JPM	Mkt	JPM-Mkt	JPM	Mkt	JPM-Mkt
Global	3.91	3	9	-6	8	17	-9	0	24	-24	-12	0	-12
Developed	3.08	7	16	-9	23	32	-9	23	48	-25	16	46	-30
US	3.75	0	11	-11	25	29	-4	25	43	-18	25	35	-10
EMU	2.25	25	26	-1	25	39	-14	25	52	-27	0	51	-51
Japan	1.00	0	16	-16	25	38	-13	50	68	-18	100	89	11
UK	3.75	0	15	-15	25	34	-9	0	52	-52	-25	51	-76
Norway	4.25	25	19	6	25	26	-1	0	23	-23	-25	6	-31
Sweden	1.75	0	15	-15	25	26	-1	25	56	-31	25	84	-59
Canada	2.25	0	4	-4	0	22	-22	0	65	-65	0	86	-86
Australia	4.35	0	4	-4	0	15	-15	0	16	-16	-49	6	-55
New Zealand	2.50	25	23	2	50	52	-2	75	94	-19	75	127	-52
Emerging	5.26	0	0	0	-13	-3	-10	-32	-10	-22	-52	-55	3
EM Low Yield	1.97	1	-17	18	-2	-16	14	1	-15	16	-5	-8	3
EM High Yield	11.62	-4	65	-69	-36	54	-90	-97	31	-128	-145	4	-149
EM HY Ex-RU	11.17	0	82	-82	-23	74	-97	-68	68	-136	-115	31	-146
EM Asia	1.54	2	1	1	-4	2	-6	0	2	-2	-8	9	-17
China	1.40	0	0	0	-9	-3	-6	-9	-6	-3	-19	-2	-17
Hong Kong	4.00	0	--	--	25	--	--	25	--	--	25	--	--
India	5.25	0	6	-6	0	22	-22	0	51	-51	0	87	-87
Indonesia	5.75	25	--	--	25	--	--	25	--	--	25	--	--
Korea	2.75	25	24	1	50	57	-7	100	85	15	100	110	-10
Malaysia	2.75	0	3	-3	25	7	18	25	12	13	25	23	2
Philippines	4.75	25	--	--	75	--	--	75	--	--	75	--	--
Taiwan	2.00	0	4	-4	0	18	-18	0	37	-37	0	62	-62
Thailand	1.00	0	6	-6	0	12	-12	0	29	-29	0	49	-49
EMEA EM	15.74	-9	57	-66	-83	17	-100	-211	-63	-148	-282	-68	-214
Czechia	3.75	0	14	-14	25	25	0	25	36	-11	0	33	-33
Hungary	5.75	-50	--	--	-75	--	--	-100	--	--	-100	--	--
Israel	3.50	-25	-44	19	-50	-59	9	-50	-62	12	-50	-55	5
Poland	3.75	0	-4	4	0	5	-5	0	19	-19	0	19	-19
Romania	6.50	0	--	--	0	--	--	-25	--	--	-50	--	--
Russia	14.00	-25	-40	15	-100	-63	-37	-250	-170	-80	-300	-168	-132
South Africa	7.00	25	14	11	25	37	-12	25	45	-20	-25	35	-60
Turkey	37.00	0	34	-34	-200	-106	-94	-500	-273	-227	-700	-291	-409
LATAM	9.91	-10	32	-42	-9	41	-50	-24	53	-77	-71	-221	150
Brazil	14.00	-25	-10	-15	-25	-8	-17	-75	-4	-71	-175	--	--
Chile	4.50	0	0	0	0	13	-13	50	28	22	100	30	70
Colombia	12.00	0	18	-18	0	57	-57	0	52	-52	-100	-42	-58
Mexico	6.50	0	2	-2	0	10	-10	0	36	-36	0	84	-84
Peru	4.25	0	--	--	25	--	--	75	--	--	100	--	--

-- indicates market-based policy rate forecast is unavailable. Market-based forecast data are lagged 1-2 days.

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